NO. 18-0918

IN THE

SUPREME COURT OF THE UNITED STATES

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC., DEBTOR

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER

v.

MILTON WEINBERG, RESPONDENT

ON WRIT OF CERTIORARI TO THE
UNITED STATES COURT OF APPEALS FOR THE THIRTEENTH CIRCUIT

BRIEF FOR PETITIONER

Team Number P11
Counsel for Petitioner

QUESTIONS PRESENTED

1. Does a creditor violate the automatic stay under 11 U.S.C. § 362(a)(3) by refusing to return estate property following the debtor's bankruptcy petition?
2. Does 11 U.S.C. § 503(b)(3)(D), which allows a creditor "in a case under chapter 9 or 11 of this title" to bring a substantial contribution claim to recover administrative expenses, also allow a creditor in a Chapter 7 case to bring a substantial contribution claim?

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OPINIONS BELOW

United States Bankruptcy Court for the District of Moot ruled that Respondent Weinberg's retention of Petitioner's assets was not a violation of § 362(a)(3) and that Respondent Weinberg is entitled to administrative expenses under § 503(b), notwithstanding § 503(b)(3)(D). Petitioner appealed to the United States Court of Appeals for the Thirteenth Circuit, which affirmed the District of Moot's ruling. The Supreme Court has granted Petitioner writ of certiorari.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

The relevant statutory provisions involved in this case are listed below and are reproduced in Appendices A-H.

11 U.S.C. § 102

11 U.S.C. § 105

11 U.S.C. § 324

11 U.S.C. § 362

11 U.S.C. § 363

11 U.S.C. § 503

11 U.S.C. § 522

11 U.S.C. § 542

STATEMENT OF FACTS

The fundamental purpose of the American bankruptcy system is to offer hapless debtors with a fresh start from unrelenting creditors. Unfortunately, in this case the bankruptcy system failed. Here, the respondent-creditor stymied the liquidation efforts of the Trustee, exploited the bankruptcy process at the expense of the Debtor, and denied the Debtor a chance to start fresh.

I. Weinberg sues the Debtor, a local snow plow company.

For years Backstreets Plowing, Inc. ("Debtor") operated a local snow plow business for Asbury Park County. (R. at 3, 5.) Yet, by the spring of 2015, the Debtor was desperate to remain competitive. (R. at 3.) Accordingly, the Debtor bid on a valuable one-year snow plowing contract with the City of Badlands. (R. at 3-4.) To secure the contract, the Debtor required new snow plow trucks; the new trucks would cut costs and enable the Debtor to outbid its competitors. (R. at 3-4.)

In 2015, the Debtor's sole shareholder, Christopher Clemons ("Clemons") sought funding for the new plows from his acquaintance, Respondent Milton Weinberg ("Weinberg"). (R. at 4.) Weinberg loaned Clemons $450,000 to purchase the new trucks. (R. at 4.) The promissory note required the Debtor to make monthly payments to Weinberg, and Weinberg secured repayment of the loan through both a security interest in the trucks and Clemons' personal guarantee. (R. at 4.) A few months after borrowing the necessary funds, the Debtor purchased the new trucks and won the snow plow contract with the City. (R. at 4.)

The relationship between Clemons and Weinberg deteriorated after a heated argument before the 2015-2016 winter season. (R. at 4-5.) Although the Debtor missed its first few note payments, the Debtor profited during the 2015-2016 season. (R. at 5.) Perhaps still upset from the argument, Weinberg waited nearly three months before attempting to call Clemons to discuss the missed payments. (R. at 5.) Then, in late February after a few unsuccessful attempted telephone

calls, Weinberg accosted Clemons at the Debtor's facility to argue with Clemons about the missed payments. (R. at 5.) The Debtor's truck drivers were forced to remove Weinberg from the facility. (R. at 5.) On his way out, Weinberg threatened Clemons to "lawyer up." (R. at 5.)

In April 2016 Weinberg sued Clemons in the State of Moot Circuit Court over Clemons' personal guarantee of the loan. (R. at 5.) A month later, the Debtor made multiple cash transfers, totaling $100,000, to Clemons' daughter, Patti. (R. at 7.) Then, in October 2016 the court granted Weinberg "default judgement against both the Debtor and Clemons, jointly and severally, for $450,000 plus interest and fees." (R. at 5.) However, a successful football victory by his alma mater calmed Weinberg, and he did not immediately act to collect on the judgment. (R. at 5.)

II. Weinberg seizes the Debtor's snow plows in the midst of Nor'easter snow storms, driving the Debtor's local business into bankruptcy.

Although the Debtor profited during the 2015-2016 winter plow season, the 2016-2017 winter was "brutal" for the Debtor. (R. at 5.) Several Nor'easter storms blanketed the City of Badlands in snow, creating excessive costs that the Debtor could not afford given with the flat monthly rate from the City contract. (R. at 5-6.)

With the excessive costs piling up on the Debtor, Weinberg decided to collect on the $450,000 judgment. (R. at 6.) Weinberg hired a repossession company to seize the Debtor's new snow plow trucks from the Debtor's parking lot and deliver the new trucks to Weinberg's warehouse for storage. (R. at 6.) Because Weinberg seized the Debtor's new snow plow trucks in the midst of several Nor'easter snow storms, the Debtor was unable to fulfill its contract with the City. (R. at 6.)

On February 4, 2017, the Debtor was forced to file for Chapter 11 bankruptcy. (R. at 6.) Afterwards, the Debtor's attorney demanded that Weinberg return the new trucks immediately. (R.

at 6.) Weinberg refused. (R. at 6.) Rather, Weinberg argued that the Debtor needed to bring a turnover action. (R. at 6.)

Because Weinberg refused to return the new trucks, the Debtor moved the bankruptcy court to declare Weinberg in violation of the automatic stay under § 362(a)(3). (R. at 6.) The bankruptcy court noted that their decision was a "close call" but held that Weinberg's continuous retention of the snow plow trucks was not an "act to…exercise control over property of the estate" pursuant to § 362(a)(3). (R. at 6.) The Debtor appealed. (R. at 6.)

III. Weinberg forces the Debtor into liquidation, drains the Debtor's estate, and the Debtor closes shop.

Because Weinberg continued to possess the snow plow trucks through the 2016-2017 winter, the Debtor was unable to fulfill the City contract. (R. at 6-7.) After losing the City contract, the Debtor voluntarily converted the Chapter 11 reorganization case to a Chapter 7 liquidation case. (R. at 7.) And on April 13, 2017, the court appointed Petitioner Steven Vin Sant as Trustee to liquidate the property of the Debtor. (R. at 7.) To allow the Trustee to "substitute in for the Debtor" and "get up to speed on the appeal," the Bankruptcy Appellate Panel stayed the Debtor's appeal of the "close call" decision. (R. at 7.)

In May 2017, while the Trustee was getting up to speed, Weinberg commenced collection efforts against Clemons on the $450,000 judgment from the year before. (R. at 7.) Weinberg hired a law firm to examine Clemons' assets. (R. at 7.) During the creditors' examination, Weinberg discovered the cash transfers from Debtor to Patti. (R. at 7.) Rather than notifying the Trustee of the transfer, Weinberg allowed the law firm to complete the creditors' examination and investigate the transfer—incurring $25,000 in legal fees in the process. (R. at 7.) After the law firm completed the creditors' examination, Weinberg submitted documents to the Trustee that pertained to the

transfers. (R. at 7.) The Trustee sued Patti Clemons for fraudulent transfers, Patti quickly settled the case for $75,000, and the bankruptcy court approved the settlement. (R. at 7.)

After the Trustee settled the lawsuit against Patti, Weinberg moved under 11 U.S.C. § 503(b) to recover the $25,000 in legal fees he incurred in allowing the law firm to complete the creditors' examination. (R. at 7-8.) The Trustee admitted that Weinberg made a substantial contribution to the estate; however, the Trustee objected to the motion on the grounds that § 503(b)(3)(D) only allowed substantial contribution claims to recover administrative expenses in Chapter 9 or 11 cases. (R. at 7-8.) Notwithstanding § 503(b)(3)(D), the bankruptcy court granted Weinberg recovery for his substantial contribution in this Chapter 7 case. (R. at 8.)

In September 2017, Tenth Avenue Freezeout, Inc. ("Tenth Avenue") offered to purchase most of the Debtor's assets on the condition that Weinberg transfer possession of and title to the snow plow trucks to the Trustee. (R. at 8.) Weinberg refused. (R. at 8.) Tenth Avenue rescinded its offer. (R. at 8.) Then, Stone Pony Plowing, LLC ("Stone Pony") offered $100,000 less than Tenth Avenue and excluded the snow plow trucks. (R. at 8.) The Trustee accepted the Stone Pony offer, and the bankruptcy court approved the sale. (R. at 8-9.)

Realizing that Weinberg exploited the bankruptcy process and capitalized at the expense of the Debtor, the Trustee continued to appeal the automatic stay and substantial contribution claims after the closing of the sale. (R. at 9.) A split decision from the Thirteenth Circuit Court of Appeals affirmed the lower courts on both issues, finding that Weinberg did not violate the automatic stay by refusing to return the snow plows, and that Weinberg could bring a substantial contribution claim to recover administrative expenses in a Chapter 7 case. (R. at 9.) Trustee appeals to the United States Supreme Court to offer the Debtor with a fresh start.

SUMMARY OF THE ARGUMENT

The Thirteenth Circuit Court of Appeals erred when it held, contrary to the plain language of the Bankruptcy Code (the "Code"), (1) that Weinberg did not violate the automatic stay by possessing estate assets post-petition and (2) that § 503(b)(3)(D) allowed Weinberg to bring a substantial contribution claim in a Chapter 7 case. First, Weinberg's refusal to turnover Petitioner's snow plows upon notice of petition constitutes an "act...to exercise control" under § 362(a)(3), violating the automatic stay. Second, Weinberg cannot recover administrative expenses incurred in this Chapter 7 case because such an interpretation defies the plain language of § 503(b)(3)(D), negates the congressional intent behind the statute, and inflates the equitable powers of bankruptcy courts. Therefore, the Thirteenth Circuit's holding should be reversed.

First, this Court should rule that Weinberg's refusal to turn over the snow plows violates § 362(a)(3) because preventing access to the plows is an "act…to exercise control" over those assets. Despite the minority view adopted by the court below, refusing to turnover assets of the estate *is* the very essence of a controlling action. Both the plain meaning of the statute, as well as a logical reading of the statute when viewed as part of the Code as a whole, demand such an interpretation.

Additionally, a debtor is *not* required to prove the estate assets that a creditor has an interest in are "adequately protected" under § 363(e) before the creditor must turnover such assets to the estate. Rather, adequate protection is a *post*-turnover tool that creditors may wield through the equitable powers of the bankruptcy courts that requires debtors to prove sound backing for creditor-interested assets. Creditors may not employ "self-help" methods to negotiate a better position for themselves in the bankruptcy process by unilaterally proclaiming lack of adequate protection. To hold otherwise would misconstrue the language Congress finalized in the Code and defy the spirit of the bankruptcy process.

Second, Weinberg cannot bring a substantial contribution claim to recover administrative expenses in a Chapter 7 case because the Code specifically limits substantial contribution claims exclusively to Chapter 9 or 11 cases. § 503(b)(3)(D) states that a creditor may only recover administrative expenses "in making a substantial contribution in a case under chapter 9 or 11 of this title," it would defy the statutory intent to "read in" Chapter 7 as an additional scenario permitting recovery. Further, no legislative history of § 503(b) exists to support the notion that Congress intended for Chapter 7 cases to be included.

Additionally, the different statutory schemes behind Chapter 9 and 11 cases compared to Chapter 7 cases demonstrates that Congress intentionally excluded Chapter 7 from § 503(b)(3)(D). In Chapter 7 liquidation cases trustees, not creditors, must oversee estate property. Conversely, in Chapter 9 and 11 reorganization cases the debtor often remains in possession of his property, prompting creditors to participate more frequently to benefit the estate. Therefore, in Chapter 7 cases creditors are unlikely to ordinarily incur expenses, whereas creditors routinely incur expenses in Chapter 9 and 11 cases.

Finally, bankruptcy courts possess equitable powers; however, bankruptcy courts do not possess the power to revise the Code. That power rests with Congress, and Congress has expressed a clear and meticulously worded rules of engagement throughout the Code. As such, Petitioner respectfully requests this Court to reverse the decision of the Thirteenth Circuit.

ARGUMENT

Courts review questions of bankruptcy law de novo. *Zingale v. Rabin (In re Zingale)*, 693 F.3d 704, 707 (6th Cir. 2012). The questions presented in this case are strictly questions of law. As such, de nov*o* review is proper.

I. Respondent Weinberg's retention of estate assets following notice of debtor's bankruptcy petition violates the automatic stay under 11 U.S.C. § 362(a)(3).

A secured creditor violates the automatic stay under 11 U.S.C. § 362(a)(3) when retaining possession of collateral after a debtor files for bankruptcy. The Bankruptcy Amendments and Federal Judgeship Act of 1984 (the "1984 Amendments") amended § 362(a)(3) to include the following italicized actions that are barred by the automatic stay: "(3) any act to obtain possession of property of the estate or of property from the estate *or to exercise control over property of the estate…"* Respondent contends that "act…to exercise control" does not condemn his passive retention of Petitioner's plows and thus does not constitute a violation of the automatic stay. However, (1) in light of a plain language and logical interpretation of § 362(a)(3), (2) because § 363(e) adequate possession is *not* a necessary condition for creditor turnover, and (3) because adequate protection is a decision for the bankruptcy courts, this Court should rule that Respondent's passive possession of the plows violated the automatic stay.

A. Possession of collateral constitutes an "exercise of control" in violation of § 362(a)(3).

Because possession of collateral is, by definition, an action preventing trustee access to assets, Respondent's actions equate to an "exercise of control," and therefore violate the automatic stay. Courts begin their analyses of statutory construction with the language of the statute. *Hughes Aircraft Co. v. Jacobson*, 525 U.S. 432, 438 (1999). In the absence of a definition, courts use the plain meaning of the statutory language. *Conn. Nat'l Bank v. Germain*, 503 U.S. 249, 253–54 (1992). This Court examines both the statutory language at issue and the design of the statute as a whole to determine the plain meaning of the statute. *K Mart Corp. v. Cartier, Inc.*, 486 U.S. 281, 291 (1988).

The majority of circuits accept Petitioner's argument that passive possession of collateral violates the automatic stay. *See Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 81 (2d Cir. 2013);

Thompson v. Gen. Motors Acceptance Corp., LLC, 566 F.3d 699, 707-08 (7th Cir. 2009); *State of Cal. Emp't Dev. Dept. v. Taxel (In re Del Mission Ltd.)*, 98 F.3d 1147, 1151 (9th Cir. 1996); *Knaus v. Concordia Lumber Co., Inc. (In re Knaus)*, 889 F.2d 773, 775 (8th Cir. 1989). Yet, the Thirteenth Circuit applies the minority interpretation of § 362(a)(3), and mistakenly construes that Congress's use of the word "act" in § 362(a)(3) requires affirmative, post-petition conduct by the creditor to violate the automatic stay. (R. at 16.)

1. Both the plain meaning and logical interpretation of § 362(a)(3), when viewed as part of the Bankruptcy Code as a whole, show that Weinberg's passive possession of Debtor's plows violates the automatic stay.

Because of the plain meaning and the logical interpretation of § 362(a)(3), Weinberg's passive possession of Debtor's property is an "act…to exercise control" in violation of the automatic stay. The statutory language at issue precludes "any act to obtain possession of property of the estate…or to *exercise control* over property of the estate." 11 U.S.C. § 362(a)(3) (2012). Weinberg argues that possession does not constitute an "act…to exercise control". However, the act of *withholding* the Debtor's property in bankruptcy is, in fact, the "essence of exercising control over possession." *Thompson,* 566 F.3d at 702-03; *In re Sharon*, 234 B.R. 676, 682 (B.A.P. 6th Cir. 1999) . Both the dictionary definition and common sense meaning of the word "control" would agree, and the Code as a whole would suffer if such a meaning was not ascribed to the word "control."

i. Dictionary definitions and common sense meaning of "act…to exercise control"

As defined by Black's Law Dictionary, "control" means "to exercise power or influence over." Black's Law Dictionary (10th ed. 2014). It is incontestable that, by definition, the act of withholding property from a trustee—even if such property is being "passively" withheld in a warehouse—constitutes an exercise of "power or influence over" the property. Refusing to return an asset, keeping it from the estate's trustee, and prohibiting a debtor's use of an asset all fit within

the common sense meaning of "control," as well as the dictionary definition. *Thompson*, 566 F.3d at 702.

The Thirteenth Circuit adopted a misconstrued reading of the statute, focusing on the term "act" in § 362(a)(3): contending that because Respondent did not "do something," there can be no "act". (R. at 11.) Where there is no "act," there is no violation of the automatic stay. (R. at 11.) However, "act" should be granted the "broadest meaning when construing expansively-interpreted language in section 362(a)(3)." *In re Peake*, 588 B.R. 811, 832 (Bankr. N.D. Ill. 2018). Here, Respondent did "do something" by actively preventing Debtor from accessing the estate assets that are necessary to the bankruptcy efforts. Thus, Respondent's action constitutes a violation of § 362(a)(3), violating the automatic stay.

ii. Congress's expansion of § 362(a)(3).

Further, the fact that the 1984 Amendments expanded § 362(a)(3) to include "acts…to exercise control" over debtor property post-petition, indicates Congressional intent to broaden the scope of the statute to include more than just actions to *gain* possession of property. *Thompson,* 566 F.3d at 702. Congress's expansion suggests that it intended to include actions by creditors who had seized property pre-petition as well. *Id.* at 702-03. Congress had a purpose in broadening the "already sweeping provisions of the automatic stay" to prohibit not just any "act to obtain possession" but also "any act…to exercise control over the property of the estate." *In re Weber*, 719 F.3d at 80. That purpose is "consonant with…the Supreme Court's interpretation that Congress intended to prevent creditors from retaining property of the debtor in derogation of the bankruptcy procedure and the broad goals of debtor protection" regardless of which entity possessed the estate property in question at the time of bankruptcy petition. *Id.* Because Congress's expansion of the statutory language is logically indicative of the intent to prevent passive possession of estate property by creditors, Respondent's actions are in violation of § 362(a)(3).

Here, Respondent's effort to prevent Petitioner from recovering the snow plows is substantially similar to imposing a "freeze" or "hold" on assets that a debtor is entitled to receive. In *SBA v. Rinehart*, 887 F.2d 165, 168-69 (8th Cir. 1989), a creditor that froze a check the debtor was lawfully entitled to was found to have "exercise[d] control" over the check, thus violating the automatic stay. Withholding assets essential to a debtor's reorganization of its operations offends Congress's intent in drafting the Code. *Id.* Similarly, an effort to withhold debtor property from the estate—property essential to obtaining the maximum value at liquidation—violates the automatic stay.

Because the dictionary definition of "act…to exercise control," the common sense meaning of the terms, and the legislative history of § 362(a)(3) all conclusively indicate that an "act…to exercise control" encompasses "passive possession" within its meaning, Respondent's refusal to return Debtor's snow plows violated the automatic stay.

B. A 11 U.S.C. § 363(e) adequate possession ruling is *not* a necessary condition for creditor turnover.

Adequate protection under § 363(e) is a tool that creditors may use, upon consent of court, to require debtors to reassure creditors of their financial interests in assets during bankruptcy proceedings. *Thompson*, 566 F.3d at 703-04. Respondent contends that Debtor must prove and provide adequate protection before a creditor must execute a § 542(a) turnover of property. (R. at 13.) Such an interpretation of § 363(e) and § 542(a), however, is fundamentally at odds with the structure and meaning of the Code. Therefore, the decision of the Thirteenth Circuit should be reversed.

1. Section 542(a) is self-effectuating, and a petition for turnover of property is not a prerequisite for a creditor to violate an automatic stay.

A § 542(a) turnover is self-effectuating, and a petition for turnover of property is not a prerequisite for a creditor to violate the automatic stay. Section 542(a) is self-effectuating,

mandating that creditors turnover debtor assets to the trustee upon notice of bankruptcy filing: "…An entity…in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, *shall* deliver to the trustee…" (emphasis added). Congress's decision to use the word "shall" in § 542(a) indicates its intent to *mandate* turnover of property in a creditor's possession, as opposed to requiring a debtor or trustee to seek turnover through court intervention. *Thompson*, 566 F.3d at 704. An affirmative request for turnover on the part of a trustee is not required as a prerequisite for a creditor to have violated the automatic stay. *Id.*

A creditor's subjective belief in a lack of adequate protection does not constitute a recognized exception to an automatic stay. *Thompson*, 566 F.3d at 704 (citing *In re Sharon*, 234 B.R. 676, 684 (B.A.P. 6th Cir. 1999). Creditors are empowered to receive adequate protection for their interests, so long as they seek to protect those interests within the framework of the bankruptcy procedures set forth by Congress. *United States v. Whiting Pools*, 462 U.S. 198, 205 (1983). They may not substitute those procedures for their own unilateral efforts to hold a debtor's property hostage, thwarting a debtor's efforts to reorganize and seek relief under bankruptcy law. *Id.* Plainly, "[t]here is nothing in § 363(e) that grants a creditor like [Respondent] the authority to engage in self-help to retain estate property as adequate protection…" *Nissan Motor Acceptance Corp. v. Baker*, 239 B.R. 484, 489 (N.D. Tex. 1999).

Moreover, sections 362(d) and 542(a) work together to provide creditors with what is essentially an affirmative defense to the automatic stay. *In re Yates*, 332 B.R. 1, 5 (B.A.P. 10th Cir. 2005). First, creditors must return all assets to the bankruptcy estate. *Id.* Then, where creditors may take issue with debtors' financial position, adequate protection may be requested, and the bankruptcy court retains the discretion to "condition the right of the estate to keep possession of

the asset on the provision of specified adequate protections to the creditor." *Thompson*, 566 F.3d at 704 (*citing In re Yates*, 322 B.R. at 5). "The creditor has a right to and may request terms of adequate protection while simultaneously returning the goods. However, while the creditor may suggest terms of adequate protection, it may not unilaterally condition the return of the property on its own determination of adequate protection." *In re Colortram*, 210 B.R. 823, 827-28 (B.A.P. 9th Cir. 1997).

2. Although § 363(e) adequate protection is a tool that Weinberg may use to protect his interests, adequate protection not a required prerequisite for turnover.

Section 363(e) adequate protection is a tool available to Weinberg, but not a required prerequisite for turnover. "Although Congress might have safeguarded the interests of secured creditors outright by excluding from the estate any property subject to a secured interest, it chose instead to include such property in the estate and to provide secured creditors with 'adequate protection' for their interests." *Whiting Pools,* 462 U.S. at 203-04. Creditors looking to protect their interests in debtor property must look to § 303(e) adequate protection as opposed to retaining possession of such property. A creditor has an affirmative duty to "restore the status quo" in immediately turning over debtor property upon receiving notice of a debtor's bankruptcy filing. *Abrams v. Southwest Leasing & Rental, Inc.*, 127 B.R. 239 (B.A.P. 9th Cir. 1991). It is then up to the creditor to seek § 303(e) adequate protection of the turned over property should they deem that action necessary.

Further, Congress enumerated § 303(e) as an explicit substitute for creditors' possessory interests in debtor property. By affording creditors these rights, Congress replaced creditors' right of possession. *Whiting Pools*, 462 U.S. at 207. A creditor must first turnover the property upon notice of bankruptcy filing and *then* petition under § 303(e) for adequate protection. The onus is properly placed on the creditor to seek additional protection for her interests. *Thompson,* 566 F.3d

at 706. Therefore, Weinberg's interpretation of the Code is incorrect. Weinberg cannot employ self-help and unilaterally declare a lack of adequate protection. Therefore, the decision below should be reversed.

C. Because Weinberg must affirmatively seek adequate protection, he cannot condition the turnover of estate property on the Debtor granting adequate protection.

Weinberg would have this Court construe the permissive § 363(e) rule as a mandatory, prerequisite step for creditor turnover. However, Weinberg cannot condition his turnover of estate property on adequate protection because that discretionary power rests solely with the bankruptcy courts.

1. Creditors are required to affirmatively seek adequate protection under § 363(e).

Creditors are required to seek adequate protection under § 363(e); it is not automatically required of debtors. It is clear that adequate protection may be required of debtors by the bankruptcy court. Section 363(e) states that, "on request of an entity … the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection" to the interests of a creditor. The language of the statute expressly requires that adequate protection be requested. Nothing in the statute indicates that adequate protection must be provided before creditor must turnover estate property.

In *Whiting Pools*, this Court addressed the issues surrounding the procedural steps a creditor must follow upon notice of a debtor's bankruptcy petition. *Whiting Pools*, 462 U.S. at 203-08. The Code mandates that entities in possession of any estate property that can be used by the trustee in bankruptcy proceedings under § 363 must turnover that property to the trustee. *Id.* at 205. In addition, a creditor may not delay turnover because of a perceived lack of adequate protection. Rather, a creditor may only delay turnover in three situations: (1) when debtor property is of "inconsequential value or benefit to the estate" under § 542(a); (2) when the entity holding

the property has transferred it in good faith without knowledge of debtor's bankruptcy petition under § 542(c); and (3) when a property transfer is impulsive in the payment of a life insurance premium under § 542(d). *Id.* at 205-06. As such, in this case Weinberg cannot ignore these enumerated scenarios laid down by this Court and read in "creditor-perceived lack of adequate protection" to his own benefit.

The *Whiting Pools* Court went on to specify that it is rightly "at the secured creditor's insistence" that the court must place conditions and restrictions on what a trustee may do with the property in which creditors have an interest. *Id.* at 204. Taking this Court's language of "*at the secured creditor's insistence,"* and adding it to the § 362(a)(3) mandate against acts to gain control or exercise control post-stay, as well as the § 542 requirement of turnover upon petition, the procedure that Congress intended becomes clear: turnover is mandated upon notice of petition, and the onus is on the creditor to seek § 363(e) adequate protection.

2. Reading § 363(e) adequate protection as a necessary condition for turnover defies the spirit of the bankruptcy process.

The purpose behind the Code is "to allow the debtor to regain his financial foothold and repay his creditors." *Thompson*, 566 F.3d at 706. However, an automatic stay is a function of the Code to protect both debtors *and* creditors. *Ostano Commerzanstalt v. Telewide Sys., Inc.*, 790 F.2d 206, 207 (2d Cir. 1986). Construing § 363(e) as requiring *debtors* to prove adequate protection of their assets before turnover is mandated corrupts the spirit of bankruptcy procedure.

Placing the onus on a debtor to affirmatively provide adequate protection for all her pre-petition property before her trustee may recover her property for restructuring or liquidation is not what Congress intended and would be unduly burdensome to debtors seeking relief. The common-sense construction of the Code favors placing all assets in the hands of the trustee, potentially generating profit in the meantime to help repay creditors while the bankruptcy system works out

the restructuring or liquidation of the estate. *Thompson*, 566 F.3d at 707. Where creditors feel the need within this process, they may petition and receive § 363(e) adequate protection.

3. Allowing Weinberg to unilaterally determine whether he believes Debtor will adequately protect its assets is an improper usurpation of the bankruptcy courts' equitable powers.

A creditor empowered to retain debtor property until the creditor is satisfied that the debtor will adequately protect that property wields the extraordinary power to place her interests above the interests of other creditors. Moreover, in the process of possessing the property—whether actively or passively—a creditor is, in essence, commandeering the equitable powers of the bankruptcy court. *Thompson*, 566 F.3d at 707 (citing *In re Knaus*, 889 F.2d at 775). The bankruptcy court has the sole power to "issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title." 11 U.S.C. § 105(a) (2012). No power in the Code "shall be construed to preclude the court from, sua sponte, taking any action or making any determination necessary or appropriate to enforce or implement court orders or rules, or *to prevent an abuse of process*." *Id.* (emphasis added). In violating his responsibility under § 542(a) to turnover property of the estate, Weinberg "subverts the authority of the Bankruptcy Court as specified in § 363(e) to order adequate protection when the *Bankruptcy* Court, not the creditor, deems such protection necessary." *Nissan*, 239 B.R. at 489.

Here, the primary assets—i.e., Debtor's snow plows—are subject to a single secured creditor's interests. While still a usurpation of the court's equitable powers, the issue with Weinberg's assertion of requiring adequate protection before turnover is more illustrative in an alternate scenario: one in which a bankruptcy debtor's estate has dozens of assets with interests divided among dozens of creditors. In this hypothetical, allowing one or two creditors at interest to possess some of debtor's assets until § 303(e) adequate protection is proven makes even less sense. Where assets in this situation could likely be subject to multiple secured creditors' liens,

one secured creditor's interest does not outweigh the interest of another. The logic follows that no secured creditor should be permitted to establish or maintain a possessory interest in bankruptcy proceedings over the interests of other creditors and the estate. All assets must return to the trustee to be sorted out through congressionally established bankruptcy procedure.

Because Respondent's refusal to turnover estate assets upon notice of bankruptcy petition constitutes an "act...to exercise control" under § 362(a)(3), and because § 363(e) adequate protection is not a necessary condition for a creditor turnover, this Court should reverse the Thirteenth Circuit and find Respondent in violation of the automatic stay.

II. Weinberg cannot bring a substantial contribution claim under 11 U.S.C. § 503(b)(3)(D) in a Chapter 7 case.

Because canons of statutory construction, legislative history, and separation of powers considerations weigh against allowing substantial contribution claims in Chapter 7 cases, Petitioner respectfully requests that this Court reverse the decision below.

The Bankruptcy Code permits parties in interest to recover administrative expenses incurred "in making a substantial contribution in a case under chapter 9 or 11 of this title." 11 U.S.C. § 503(b)(3)(D) (2012). Accordingly, a majority of courts hold that the explicit language of § 503(b)(3)(D) bars substantial contribution claims in Chapter 7 cases and Chapter 9 or 11 cases that are converted to Chapter 7 cases. *Mosier v. Kupetz (In re United Educ. & Software)*, 2005 WL 6960237, at *5 (B.A.P. 9th Cir. Oct. 7, 2005); *In re Lloyd Sec., Inc.*, 75 F.3d 853, 857 (3d Cir. 1996). Moreover, although § 503(b) contains more than a dozen subsections and sub-subsections, the statute never mentions Chapter 7. 11 U.S.C. § 503(b) (2012). Nonetheless, the issue before this court is whether "including" in § 503(b) permits bankruptcy courts to rewrite § 503(b)(3)(D) to allow a substantial contribution claim in a Chapter 7 case.

Although § 503(b)(3)(D) only applies to Chapter 9 and 11 cases, the *In re Connolly N. Am., LLC* holding—a split, two-to-one decision with a staunch dissent—permitted substantial contribution claims in Chapter 7 cases under § 503(b)(3)(D), sparking outlier decisions in a minority of courts. *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810 (6th Cir. 2015); *In re Maust Transp., Inc.*, 589 B.R. 887, 893-98 (Bankr. W.D. Wash. 2018); *In re Maqsoudi*, 566 B.R. 40, 43 (Bankr. C.D. Cal. 2017). The decision below from the Thirteenth Circuit endorses the minority of courts. However, because the Thirteenth Circuit (1) ignores the plain language of the statute, (2) imagines a legislative history to corroborate the holding, and (3) inflates the equitable powers of bankruptcy courts so as to engage in legislation, this Court should reverse the holding below.

A. Proper means of statutory construction do not allow Weinberg to bring a substantial contribution claim in this Chapter 7 case.

Because under the specific limitations of § 503(b)(3)(D), a creditor may only bring a substantial contribution claim "in a case under chapter 9 or 11 of this title," the Thirteenth Circuit erred in allowing Weinberg to bring a substantial contribution claim in a Chapter 7 case. The statutory language is the keystone on which all other analyses rely. *United States v. Ron Pair Enters., Inc.*, 489 U.S. 235, 241 (1989). When the plain language of the statute is clear, courts enforce the existing statutory text. *Lamie v. U.S. Trustee*, 540 U.S. 526, 534 (2004). In addition, Congress "says in a statute what it means and means in a statute what it says." *Hartford Underwriters Ins. Co. v. Union Planters Banks, N.A.*, 530 U.S. 1, 6 (2000). And courts construe statutes so as not to render any clause superfluous. *TRW Inc. v. Andrews*, 534 U.S. 19, 31 (2001). Consequently, courts give effect to every word to avoid emasculating entire sections and subsections and to avoid rendering any word to be superfluous. *TRW Inc.*, 534 U.S. at 31.

1. The specific language of § 503(b)(3)(D) governs the general language of § 503(b), so Weinberg cannot bring a substantial contribution claim in a Chapter 7 case.

Because the specific "in a case under chapter 9 or 11" language of the subsection governs the general "including" language of the main section, § 503(b)(3)(D) precludes substantial contribution claims in Chapter 7 cases. The specific terms of a statute govern the general terms of a statute. *Bennett v. Spear*, 520 U.S. 154, 173 (1997). Holding otherwise would render the specific terms superfluous. *RedLAX Gateway Hotel, LLC v. Amalgamated Bank*, 566 U.S. 639, 645 (2012) (holding the specific term governs the general term so the general term does not "swallow" the specific term); *D. Ginsberg & Sons, Inc. v. Popkin*, 285 U.S. 204 (1932). When a statute contains specific limitations, *expresio unius est exclusio alterius* ("*expresio unius*") applies. *N.L.R.B. v. SW Gen., Inc.*, _ U.S. _, 137 S.Ct. 929, 940 (2017). Yet the Thirteenth Circuit mistakenly holds that the general "including" language of § 503(b) swallows the specific language of subsection 503(b)(3)(D), permitting bankruptcy courts to abandon the *expresio unius* doctrine and ignore the limitations specified under § 503(b)(3). (R. at 18-19.) In this case, because the specific language of § 503(b)(3)(D) governs the general language of § 503(b), the decision below should be reversed.

Here, because the specific limitation within subsection 503(b)(3)(D) governs the general language of § 503(b), Weinberg cannot bring a substantial contribution claim in a Chapter 7 case. *See RedLAX Gateway Hotel, LLC*, 566 U.S. at 645. The clause "in a case under chapter 9 or 11 of this title" is a specific limitation within § 503(b)(3)(D). *In re Hackney*, 351 B.R. 179, 203 (Bankr. N.D. Ala. 2006). Conversely, because 11 U.S.C. § 102 states that "including" is "not limiting," "including" is a general term of enlargement. *In re Kadjevich*, 220 F.3d 1016, 1019 (9th Cir. 2000); *United States v. Gertz*, 249 F.2d 662, 666 (9th Cir. 1957); *In re Ideal Mortgage Bankers, Ltd.*, 539 B.R. 409, 429 (Bankr. E.D.N.Y. 2015). However, Congress inserting "including" into § 503(b) and omitted "including" in subsection 503(b)(3) demonstrates a congressional intent to exclude

any terms that are absent from § 503(b)(3)(D). *Mosier*, 2005 WL 6960237, at *7; *In re Hackney*, 351 B.R. at 203-05. Accordingly, "in a case under chapter 9 or 11 of this title" governs the general "including" provision and specifically limits the recovery of substantial contribution claims to Chapter 9 or 11 cases. Therefore, Weinberg—a Chapter 7 creditor—cannot bring a substantial contribution claim. To hold otherwise would be to emasculate § 503(b)(3)(D) and render its terms superfluous. *In re Health Trio, Inc.*, 584 B.R. 342, 352 (Bankr. D. Colo. 2018).

2. Preventing Weinberg from bringing a substantial contribution claim would not deter meaningful creditor participation.

Because Weinberg benefits from the distribution of the assets of the estate, holding that Weinberg cannot bring a substantial contribution claim in a Chapter 7 case will not deter meaningful creditor participation. Subsection 503(b)(3)(D) serves two purposes: (1) minimize the allowance of administrative expenses to maximize the estate property available for distribution; and (2) promote meaningful creditor participation in the bankruptcy process. *Otte v. United States*, 419 U.S. 53 (1974); *Lebron v. Mechem Fin. Inc.*, 27 F.3d 937, 944 (3d Cir. 1994). Section 503(b) fails to define "administrative expense;" however, most courts narrowly construe administrative expenses to maximize the estate property. *In re Gulf Coast Orthopedic Ctr., Inc.*, 283 B.R. 335, 340 (Bankr. M.D. Fla. 2002). Consequently, the primary purpose of § 503(b) is to maximize the value of the estate. *See Id.* at 340.

Although courts narrowly construe administrative expenses to maximize the value of the estate, the holding in *In re Connolly N. Am.* places undue emphasis on the purpose of § 503(b)(3)(D) to promote meaningful creditor participation in a Chapter 7 case. *In re Connolly N. Am., LLC*, 802 F.3d at 818. Moreover, the minority of courts that adopted the *In re Connolly N. Am.* perspective construe § 503(b) broadly to allow substantial contribution claims in unenumerated situations. *Al Copeland Enters. Inc. v. Texas (In re Al Copeland Enters., Inc.)*, 991

F.2d 233, 238-39 (5th Cir. 1993). Those courts reason that barring Chapter 7 substantial contribution claims "would have a chilling effect upon creditor participation within a bankruptcy proceeding." *In re George Worthington Co.*, 921 F.2d 626, 633(6th Cir. 1990); *In re Antar*, 122 B.R. 788, 791 (Bankr. S.D. Fla. 1990).

However, reality shows that precluding creditors from bringing substantial contribution claims in Chapter 7 cases will not chill meaningful creditor participation. *In re Courtney*, 359 B.R. 883, 889 (Bankr. E.D. Tenn. 2007). Irrespective of whether Chapter 7 creditors recover expenses incurred in making a substantial contribution, assets that creditors locate increase the value of the estate. *Id.* at 889. Consequently, the costs Chapter 7 creditors incur in substantially contributing to the estate are reimbursed to creditors through the distribution process. *Id.* Moreover, allowing substantial contribution claims in Chapter 7 cases may incentivize creditors to "race to the courthouse" to litigate against the debtor, rather than permitting the debtor to "catch her financial breath." *In re Javed*, 592 B.R. 615, 621-22 (Bankr. D. Md. 2018). In this case because Weinberg will benefit from the increased value of the estate during the distribution process, denying Weinberg's substantial contribution claim will not deter meaningful creditor participation.

Here, the court below disregards the primary purpose of § 503(b)—to maximize the value of the estate by minimizing administrative expenses. The Thirteenth Circuit ignores that most courts narrowly interpret administrative expense applications. Instead, the court broadly construes § 503(b) to allow Weinberg to bring a substantial contribution claim under § 503(b)(3)(D) in an unenumerated situation—a Chapter 7 case. Lastly, the court mistakenly reasons that reimbursing Weinberg his administrative expenses is the only method to promote meaningful creditor participation. Not so. Although Weinberg incurred $25,000 in costs while personally investigating the fraudulent transfer claims, Weinberg will benefit from the $75,000 increase in the value of the

Debtor's estate upon distribution. (R. at 7.) Therefore, because the primary purpose of § 503(b) is to minimize the allowance of administrative expenses to maximize the estate, and Weinberg will benefit from an increased estate value, the decision below must be reversed.

B. The legislative history of § 503(b) shows Congress intended to only permit administrative expenses in Chapter 9 and 11 cases.

Because the legislative history of § 503(b) shows an intent by Congress to exclude administrative expenses in Chapter 7 cases, the case below should be reversed. No pre-Code law exists that supports allowing a creditor to bring a substantial contribution claim in a Chapter 7 case. *In re Maust Transp., Inc.*, 589 B.R. at 898. Moreover, the legislative history behind § 503(b) *never* addresses whether the Code allows administrative expenses in a Chapter 7 case. *Id.* at 898. Surprisingly, despite this knowledge the minority of courts contend that the language of § 503(b)(3)(D) is ambiguous as to whether or not § 503(b)(3)(D) allows substantial contribution claims in Chapter 7 cases. *In re Flo-Lizer, Inc.*, 916 F.2d 363, 365 (6th Cir. 1990). As such, when the language of the statute is ambiguous, courts attempt to extract congressional intent from the legislative history behind the statute. *Id.* However, because Congress intended to exclude Chapter 7 and early drafts of § 503(b)(3)(D) do not mention Chapter 7, legislative history undermines the decision below. Accordingly, Weinberg cannot bring a substantial contribution claim in a Chapter 7 case under § 503(b)(3)(D).

1. Because Chapter 9 and 11 cases require more creditor participation than Chapter 7 cases, Congress intended to exclude Chapter 7 from § 503(b)(3)(D).

Because Chapter 9 and 11 cases require more creditor participation than Chapter 7 cases, Congress did not intend for § 503(b)(3)(D) to include Chapter 7 creditors such as Weinberg. Courts must examine the plain language of the statute in the context of the broader statutory scheme to discern the congressional intent behind the statute. *In re Magic Rests., Inc.*, 205 F.3d 108, 116 (3d

Cir. 2000). The statutory scheme behind Chapter 9 and 11 cases shows a congressional intent to only allow administrative expenses in Chapter 9 and 11 cases. *See In re Connolly N. Am., LLC*, 802 F.3d at 810; *Lebron*, 27 F.3d at 937; *In re Javed*, 592 B.R. at 615.

The statutory scheme surrounding Chapter 9 and 11 cases requires significantly more creditor participation compared to Chapter 7 cases. *See In re Connolly N. Am., LLC*, 802 F.3d at 810; *In re Javed*, 592 B.R. at 615. In Chapter 9 and 11 cases, the debtor often remains in possession of her assets. *In re Javed*, 592 B.R. at 620-21. Consequently, because a debtor remains in possession of her assets, creditors must frequently incur costs to monitor the actions of the debtor and benefit the estate as a whole. *Id.* at 620-21. Meanwhile, in a Chapter 7 case, the court appoints a trustee to efficiently control the assets of the estate. *In re Merry-Go-Round Enters., Inc.*, 180 F.3d 149, 162 (4th Cir. 1999). In addition, a United States Trustee oversees the court-appointed trustee. *In re Connolly N. Am., LLC*, 802 F.3d at 817. Accordingly, oversight by multiple levels of trustees essentially eliminates a need for creditor action to benefit the estate in Chapter 7 cases. *In re Javed*, 592 B.R. at 621 (reasoning creditor action in a Chapter 7 case may actually impede the ability of the trustee to benefit the estate by efficiently liquidating its assets). Consequently, because Chapter 9 and 11 cases inherently require more frequent creditor participation, and Chapter 7 contains a dual-trustee oversight system, Congress clearly intended to exclude administrative expenses in Chapter 7 cases. *See In re Connolly N. Am., LLC*, 802 F.3d at 810; *Lebron*, 27 F.3d at 937; *In re Javed*, 592 B.R. at 615.

The dual-trustee oversight system is stable; only in rare circumstances is the court-appointed trustee unable or unwilling to perform her statutory duties, such that the Chapter 7 dual-trustee scheme fails, and Chapter 7 creditors are forced to act. *In re Connolly N. Am., LLC*, 802 F.3d at 817; *In re Maust Transp., Inc.*, 589 B.R. at 900; *In re Sharkey*, 2017 WL 5476486, at *8

(E.D. Mich. 2017). When a trustee is unable or unwilling to perform her duties, and the creditor must incur costs to perform a task of the trustee the creditor must clear a high bar to recover administrative expenses—the creditor must prove that "but for" his participation, the trustee would have failed to collect the property for the estate. *In re Pappas*, 277 B.R. 171, 176 (Bankr. E.D.N.Y. 2002). For example, in *In re Maust Transp., Inc.* an overburdened trustee possessed insufficient resources to pursue a fraudulent transfer claim. *In re Maust Transp., Inc.*, 589 B.R. at 890-92. The bankruptcy court awarded administrative expenses to J.D.L.—a creditor who incurred costs searching for a law firm who would litigate the fraudulent transfer claim on behalf of the estate for a contingency fee. *Id.* at 900. The court reasoned that but for the efforts of the creditor to find a law firm, the trustee would not have recovered the property for the estate. *See Id.* In this case, Weinberg elected to forgo the statutory dual-trustee system and investigate the fraudulent transfer claim against Debtor. (R. at 7.) Also, the facts of this case are not comparable to the rare circumstances of *Maust*. (R. at 7.) Thus, the decision below should be reversed.

Here, because Congress intended to exclude Chapter 7 from § 503(b)(3)(D), Weinberg cannot bring a substantial contribution claim in a Chapter 7 case. Congress intended to exclude Chapter 7 from § 503(b)(3)(D) because the statutory schemes of Chapter 9 and 11 cases require more frequent creditor participation than the dual-trustee scheme of Chapter 7 cases.

In addition, this case is distinguishable from *Maust* because here no facts suggest that the Trustee was unable or unwilling to pursue the fraudulent transfer claim. (R. at 7.) In *Maust*, the Chapter 7 scheme failed. There, the insufficient resources of the trustee forced J.D.L. to incur costs to perform tasks of the trustee, i.e. interview law firms. *In re Maust Transp., Inc.*, 589 B.R. at 890-92. Unlike J.D.L., here the facts did not force Weinberg to incur costs to perform tasks of the Trustee. (R. at 7.) While the Trustee was getting "up to speed" with the case, Weinberg discovered

the prepetition fraudulent transfers by the Debtor. (R. at 7.) But Weinberg refused to immediately disclose the information regarding the cash transfers to the Trustee. (R. at 7.) Instead, Weinberg chose to incur additional costs to investigate the transfer to allow the law firm to complete the examination. (R. at 7.) Indeed, after Weinberg submitted the information to the Trustee, the Trustee quickly settled the case with Patti. (R. at 7.) Because the Trustee in this case was able and willing to investigate the fraudulent transfers, the rare circumstances of *Maust* are inapplicable here.

C. Because bankruptcy courts cannot engage in legislation, the Thirteenth Circuit erred in rewriting § 503(b)(3)(D).

Because the equitable powers that the Code grants bankruptcy courts do not permit bankruptcy courts to legislate, the Thirteenth Circuit cannot rewrite § 503(b)(3)(D) to permit Weinberg to bring a substantial contribution claim in a Chapter 7 case. Bankruptcy courts possess equitable power "to carry out the provisions of" the Code. 11 U.S.C. § 105 (2012); *Vikings Assocs., LLC v. Drewes (In re Olson)*, 120 F.3d 98, 102 (8th Cir. 1997). Yet such equitable power is not a license to disregard the Code. *In re Courtney*, 359 B.R. at 888. Rather, bankruptcy courts may only exercise their equitable powers within the confines of the Code. *In re Fresco Plastics Corp., Inc.*, 996 F.2d 152, 157 (7th Cir. 1993).

Courts exercise equitable powers within the confines of the Code by giving deference to the legislature and applying the plain statutory language. *Lamie*, 540 U.S. at 538. In the event that the application of the plain statutory language creates a harsh outcome, the remedy lies with Congress, *not* the courts. *Crooks v. Harrelson*, 282 U.S. 55, 60 (1930); *In re Hackney*, 351 B.R. at 202.

Courts have long-recognized the "basic difference between filling a gap left by Congress's silence and rewriting rules that Congress has affirmatively and specifically enacted." *Mobil Oil Corp. v. Higginbotham*, 436 U.S. 618, 625 (1978). Courts cannot fill gaps absent clear

congressional intent because where the legislative history is silent, courts traditionally do not speculate "and attempt to divine congressional wisdom." *See Lamie*, 540 U.S. at 538; *In re Mark Anthony Constr., Inc.*, 886 F.2d 1101, 1105 (9th Cir. 1989) ("[C]ourts must steadfastly resist the ready temptation to rest a decision on their surmises as to what Congress probably had in mind."); *In re Hackney*, 351 B.R. at 202. Because Congress "says in a statute what it means and means in a statute what it says," when a court writes terms into a statute absent clear congressional intent to include the missing term, the court improperly legislates. *Hartford Underwriters Ins. Co.*, 530 U.S. at 6. It follows that only when legislative history demonstrates a congressional intent to include the excluded term may courts exercise equitable gap-filling powers to write in the missing term. *See Hartford Underwriters Ins. Co.*, 530 U.S. at 6; *In re Hackney*, 351 B.R. at 202.

In re Flo-Lizer, Inc. neatly illustrates that when the legislative history references a term that Congress excluded from a statute, a bankruptcy court may fill the gap left by Congress and write in the excluded term. *See In re Flo-Lizer, Inc.*, 916 F.2d at 363. In that case, the Internal Revenue Service applied for administrative expenses under § 503(b) on the interest that had accrued on post-petition taxes. *Id.* at 364. Early versions of the statute from the House and the Senate showed Congress was inclined to include post-petition interest as an administrative expense; however, the final version of the statute excluded post-petition interest from administrative expenses. *Id.* at 365-66. Accordingly, the *Flo-Lizer* court exercised equitable gap-filling powers and held that although § 503(b) failed to "expressly list interest as an administrative expense does not mean that it cannot be an administrative expense." *Id.* at 365. The court reasoned that the early draft versions from the House and the Senate evinced a clear congressional intent to include post-petition interest as an administrative expense. *Id.* at 365-67. In this case, absent clear congressional intent to include Chapter 7 in §503(b)(3)(D), the Thirteenth Circuit failed to exercise

equitable powers within the confines of the Code by rewriting § 503(b)(3)(D) to allow Weinberg's Chapter 7 substantial contribution claim.

Here, because the legislative history fails to show a congressional intent to include Chapter 7 in § 503(b)(3)(D), the present case is distinguishable from *Flo-Lizer*, and Weinberg cannot bring a substantial contribution claim. Bankruptcy courts must give deference to the legislature and interpret the plain language of § 503(b)(3)(D). Although 11 U.S.C. § 105 of the Code grants equitable powers to bankruptcy courts, the decision below exercises equitable powers beyond the confines of the Code. Even if in the rare circumstance where precluding a Chapter 7 creditor from bringing a substantial contribution claim will produce an inequitable outcome, the proper remedy lies with Congress, not the courts.

Also, because early drafts of § 503(b)(3)(D) included Chapters 9 and 11 and excluded Chapter 7, this case is distinguishable from *Flo-Lizer*. Conversely, recall that in *Flo-Lizer*, early drafts showed that Congress was inclined to include post-petition interest as an administrative expense; however, the final statute excluded post-petition interest. *See In re Flo-Lizer, Inc.*, 916 F.2d at 363. Conversely, here the legislative history shows a clear congressional intent to exclude Chapter 7. *In re Connolly N. Am., LLC*, 802 F.3d at 822 (O'Malley, J., dissenting); *In re Hackney*, 351 B.R. at 183. And without a clear congressional intent, the word "including" does not permit courts rewrite the specific language of § 503(b)(3)(D) to include Chapter 7 cases. *In re Hackney*, 351 B.R. at 183. Therefore, because Congress clearly intended to exclude Chapter 7 from § 503(b)(3)(D), Weinberg—a Chapter 7 creditor—cannot recover administrative expenses under § 503(b)(3)(D) and the decision below should be reversed.

Unlike *Flo-Lizer*, in this case the legislative history fails to show a congressional intent to allow courts to write in Chapter 7 to § 503(b)(3)(D). In the early drafts of § 503(b)(3)(D), Congress

included Chapters 9 and 11 and excluded Chapter 7. *In re Connolly N. Am., LLC*, 802 F.3d at 822 (O'Malley, J., dissenting). Further, Chapters 7, 12, and 13 existed when Congress initially drafted the statute; however, Congress only lists Chapters 9 and 11. *In re Hackney*, 351 B.R. at 202-03. Accordingly, the legislative history fails to show a clear congressional intent to include Chapter 7 into § 503(b)(3)(D). As such, by rewriting § 503(b)(3)(D) to allow Weinberg's Chapter 7 substantial contribution claim, the Thirteenth Circuit engaged in improper legislation in the holding below. Therefore, the decision below should be reversed.

CONCLUSION

Weinberg's refusal to turnover estate assets after Debtor's petition for bankruptcy constitutes a violation of § 362(a)(3) as an "act…to exercise control over property of the estate" and violates the automatic stay. First, the plain statutory language and legislative history of § 362(a)(3) indicate that passive possession of estate property violates the automatic stay. Second, § 363(e) adequate protection is not a necessary condition for asset turnover in bankruptcy. Third, allowing creditors to retain estate property post-petition improperly shifts the equitable powers of the bankruptcy court to creditors and allows them to exercise self-help. Therefore, Petitioner respectfully requests that this Court reverse the decision below.

Weinberg—a Chapter 7 creditor—cannot bring a substantial contribution claim. First, the specific "in a case under chapter 9 or 11 of this title" language of § 503(b)(3)(D) governs the general "including" language of § 503(b). Second, the drastically different levels of creditor participation required in Chapter 9 and 11 cases compared to Chapter 7 cases, evinces a congressional intent to exclude Chapter 7 from § 503(b)(3)(D). Third, although § 105 grants bankruptcy courts equitable powers, bankruptcy courts cannot use equitable gap-filling powers to

write in terms that Congress intended to exclude. Therefore, Petitioner respectfully requests that this Court reverse the decision below.

APPENDIX A

11 U.S.C. § 102 (2012).

Rules of construction.

In this title--

(1) "after notice and a hearing", or a similar phrase--
(A) means after such notice as is appropriate in the particular circumstances, and such opportunity for a hearing as is appropriate in the particular circumstances; but

(B) authorizes an act without an actual hearing if such notice is given properly and if--
(i) such a hearing is not requested timely by a party in interest; or
(ii) there is insufficient time for a hearing to be commenced before such act must be done, and the court authorizes such act;

(2) "claim against the debtor" includes claim against property of the debtor;

(3) "includes" and "including" are not limiting;

(4) "may not" is prohibitive, and not permissive;

(5) "or" is not exclusive;

(6) "order for relief" means entry of an order for relief;

(7) the singular includes the plural;

(8) a definition, contained in a section of this title that refers to another section of this title, does not, for the purpose of such reference, affect the meaning of a term used in such other section; and

(9) "United States trustee" includes a designee of the United States trustee.

APPENDIX B

11 U.S.C. § 105 (2012).

Power of court.

(a) The court may issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title. No provision of this title providing for the raising of an issue by a party in interest shall be construed to preclude the court from, sua sponte, taking any action or making any determination necessary or appropriate to enforce or implement court orders or rules, or to prevent an abuse of process.

(b) Notwithstanding subsection (a) of this section, a court may not appoint a receiver in a case under this title.

(c) The ability of any district judge or other officer or employee of a district court to exercise any of the authority or responsibilities conferred upon the court under this title shall be determined by reference to the provisions relating to such judge, officer, or employee set forth in title 28. This subsection shall not be interpreted to exclude bankruptcy judges and other officers or employees appointed pursuant to chapter 6 of title 28 from its operation.

(d) The court, on its own motion or on the request of a party in interest--

> **(1)** shall hold such status conferences as are necessary to further the expeditious and economical resolution of the case; and
>
> **(2)** unless inconsistent with another provision of this title or with applicable Federal Rules of Bankruptcy Procedure, may issue an order at any such conference prescribing such limitations and conditions as the court deems appropriate to ensure that the case is handled expeditiously and economically, including an order that--
>
> > **(A)** sets the date by which the trustee must assume or reject an executory contract or unexpired lease; or
> >
> > **(B)** in a case under chapter 11 of this title--
> >
> > > **(i)** sets a date by which the debtor, or trustee if one has been appointed, shall file a disclosure statement and plan;
> > >
> > > **(ii)** sets a date by which the debtor, or trustee if one has been appointed, shall solicit acceptances of a plan;
> > >
> > > **(iii)** sets the date by which a party in interest other than a debtor may file a plan;
> > >
> > > **(iv)** sets a date by which a proponent of a plan, other than the debtor, shall solicit acceptances of such plan;
> > >
> > > **(v)** fixes the scope and format of the notice to be provided regarding the hearing on approval of the disclosure statement; or
> > >
> > > **(vi)** provides that the hearing on approval of the disclosure statement may be combined with the hearing on confirmation of the plan.

APPENDIX C

11 U.S.C. § 324 (2012).

Removal of trustee or examiner.

(a) The court, after notice and a hearing, may remove a trustee, other than the United States trustee, or an examiner, for cause.

(b) Whenever the court removes a trustee or examiner under subsection (a) in a case under this title, such trustee or examiner shall thereby be removed in all other cases under this title in which such trustee or examiner is then serving unless the court orders otherwise.

APPENDIX D

11 U.S.C. § 362 (2012).

Automatic Stay.

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

(1) the commencement or continuation, including the issuance or employment of process, of a judicial, administrative, or other action or proceeding against the debtor that was or could have been commenced before the commencement of the case under this title, or to recover a claim against the debtor that arose before the commencement of the case under this title;
(2) the enforcement, against the debtor or against property of the estate, of a judgment obtained before the commencement of the case under this title;
(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;
(4) any act to create, perfect, or enforce any lien against property of the estate;
(5) any act to create, perfect, or enforce against property of the debtor any lien to the extent that such lien secures a claim that arose before the commencement of the case under this title;
(6) any act to collect, assess, or recover a claim against the debtor that arose before the commencement of the case under this title;
(7) the setoff of any debt owing to the debtor that arose before the commencement of the case under this title against any claim against the debtor; and
(8) the commencement or continuation of a proceeding before the United States Tax Court concerning a tax liability of a debtor that is a corporation for a taxable period the bankruptcy court may determine or concerning the tax liability of a debtor who is an individual for a taxable period ending before the date of the order for relief under this title.

(b) The filing of a petition under section 301, 302, or 303 of this title, or of an application under section 5(a)(3) of the Securities Investor Protection Act of 1970, does not operate as a stay—

(1) under subsection (a) of this section, of the commencement or continuation of a criminal action or proceeding against the debtor;
(2) under subsection (a)--
(A) of the commencement or continuation of a civil action or proceeding--
(i) for the establishment of paternity;
(ii) for the establishment or modification of an order for domestic support obligations;
(iii) concerning child custody or visitation;
(iv) for the dissolution of a marriage, except to the extent that such proceeding seeks to determine the division of property that is property of the estate; or
(v) regarding domestic violence;

(B) of the collection of a domestic support obligation from property that is not property of the estate;
(C) with respect to the withholding of income that is property of the estate or property of the debtor for payment of a domestic support obligation under a judicial or administrative order or a statute;
(D) of the withholding, suspension, or restriction of a driver's license, a professional or occupational license, or a recreational license, under State law, as specified in section 466(a)(16) of the Social Security Act;
(E) of the reporting of overdue support owed by a parent to any consumer reporting agency as specified in section 466(a)(7) of the Social Security Act;
(F) of the interception of a tax refund, as specified in sections 464 and 466(a)(3) of the Social Security Act or under an analogous State law; or
(G) of the enforcement of a medical obligation, as specified under title IV of the Social Security Act;

(3) under subsection (a) of this section, of any act to perfect, or to maintain or continue the perfection of, an interest in property to the extent that the trustee's rights and powers are subject to such perfection under section 546(b) of this title or to the extent that such act is accomplished within the period provided under section 547(e)(2)(A) of this title;
(4) under paragraph (1), (2), (3), or (6) of subsection (a) of this section, of the commencement or continuation of an action or proceeding by a governmental unit or any organization exercising authority under the Convention on the Prohibition of the Development, Production, Stockpiling and Use of Chemical Weapons and on Their Destruction, opened for signature on January 13, 1993, to enforce such governmental unit's or organization's police and regulatory power, including the enforcement of a judgment other than a money judgment, obtained in an action or proceeding by the governmental unit to enforce such governmental unit's or organization's police or regulatory power;
[(5) Repealed. Pub.L. 105-277, Div. I, Title VI, § 603(1), Oct. 21, 1998, 112 Stat. 2681-886]
(6) under subsection (a) of this section, of the exercise by a commodity broker, forward contract merchant, stockbroker, financial institution, financial participant, or securities clearing agency of any contractual right (as defined in section 555 or 556) under any security agreement or arrangement or other credit enhancement forming a part of or related to any commodity contract, forward contract or securities contract, or of any contractual right (as defined in section 555 or 556) to offset or net out any termination value, payment amount, or other transfer obligation arising under or in connection with 1 or more such contracts, including any master agreement for such contracts;
(7) under subsection (a) of this section, of the exercise by a repo participant or financial participant of any contractual right (as defined in section 559) under any security agreement or arrangement or other credit enhancement forming a part of or related to any repurchase agreement, or of any contractual right (as defined in section 559) to offset or net out any termination value, payment amount, or other transfer obligation arising under or in connection with 1 or more such agreements, including any master agreement for such agreements;
(8) under subsection (a) of this section, of the commencement of any action by the Secretary of Housing and Urban Development to foreclose a mortgage or deed of trust in

any case in which the mortgage or deed of trust held by the Secretary is insured or was formerly insured under the National Housing Act and covers property, or combinations of property, consisting of five or more living units;

(9) under subsection (a), of--

(A) an audit by a governmental unit to determine tax liability;

(B) the issuance to the debtor by a governmental unit of a notice of tax deficiency;

(C) a demand for tax returns; or

(D) the making of an assessment for any tax and issuance of a notice and demand for payment of such an assessment (but any tax lien that would otherwise attach to property of the estate by reason of such an assessment shall not take effect unless such tax is a debt of the debtor that will not be discharged in the case and such property or its proceeds are transferred out of the estate to, or otherwise revested in, the debtor).

(10) under subsection (a) of this section, of any act by a lessor to the debtor under a lease of nonresidential real property that has terminated by the expiration of the stated term of the lease before the commencement of or during a case under this title to obtain possession of such property;

(11) under subsection (a) of this section, of the presentment of a negotiable instrument and the giving of notice of and protesting dishonor of such an instrument;

(12) under subsection (a) of this section, after the date which is 90 days after the filing of such petition, of the commencement or continuation, and conclusion to the entry of final judgment, of an action which involves a debtor subject to reorganization pursuant to chapter 11 of this title and which was brought by the Secretary of Transportation under section 31325 of title 46 (including distribution of any proceeds of sale) to foreclose a preferred ship or fleet mortgage, or a security interest in or relating to a vessel or vessel under construction, held by the Secretary of Transportation under chapter 537 of title 46 or section 109(h) of title 49, or under applicable State law;

(13) under subsection (a) of this section, after the date which is 90 days after the filing of such petition, of the commencement or continuation, and conclusion to the entry of final judgment, of an action which involves a debtor subject to reorganization pursuant to chapter 11 of this title and which was brought by the Secretary of Commerce under section 31325 of title 46 (including distribution of any proceeds of sale) to foreclose a preferred ship or fleet mortgage in a vessel or a mortgage, deed of trust, or other security interest in a fishing facility held by the Secretary of Commerce under chapter 537 of title 46;

(14) under subsection (a) of this section, of any action by an accrediting agency regarding the accreditation status of the debtor as an educational institution;

(15) under subsection (a) of this section, of any action by a State licensing body regarding the licensure of the debtor as an educational institution;

(16) under subsection (a) of this section, of any action by a guaranty agency, as defined in section 435(j) of the Higher Education Act of 1965 or the Secretary of Education regarding the eligibility of the debtor to participate in programs authorized under such Act;

(17) under subsection (a) of this section, of the exercise by a swap participant or financial participant of any contractual right (as defined in section 560) under any security agreement or arrangement or other credit enhancement forming a part of or related to any

swap agreement, or of any contractual right (as defined in section 560) to offset or net out any termination value, payment amount, or other transfer obligation arising under or in connection with 1 or more such agreements, including any master agreement for such agreements;

(18) under subsection (a) of the creation or perfection of a statutory lien for an ad valorem property tax, or a special tax or special assessment on real property whether or not ad valorem, imposed by a governmental unit, if such tax or assessment comes due after the date of the filing of the petition;

(19) under subsection (a), of withholding of income from a debtor's wages and collection of amounts withheld, under the debtor's agreement authorizing that withholding and collection for the benefit of a pension, profit-sharing, stock bonus, or other plan established under section 401, 403, 408, 408A, 414, 457, or 501(c) of the Internal Revenue Code of 1986, that is sponsored by the employer of the debtor, or an affiliate, successor, or predecessor of such employer--

(A) to the extent that the amounts withheld and collected are used solely for payments relating to a loan from a plan under section 408(b)(1) of the Employee Retirement Income Security Act of 1974 or is subject to section 72(p) of the Internal Revenue Code of 1986; or

(B) a loan from a thrift savings plan permitted under subchapter III of chapter 84 of title 5, that satisfies the requirements of section 8433(g) of such title; but nothing in this paragraph may be construed to provide that any loan made under a governmental plan under section 414(d), or a contract or account under section 403(b), of the Internal Revenue Code of 1986 constitutes a claim or a debt under this title;

(20) under subsection (a), of any act to enforce any lien against or security interest in real property following entry of the order under subsection (d)(4) as to such real property in any prior case under this title, for a period of 2 years after the date of the entry of such an order, except that the debtor, in a subsequent case under this title, may move for relief from such order based upon changed circumstances or for other good cause shown, after notice and a hearing;

(21) under subsection (a), of any act to enforce any lien against or security interest in real property--

(A) if the debtor is ineligible under section 109(g) to be a debtor in a case under this title; or

(B) if the case under this title was filed in violation of a bankruptcy court order in a prior case under this title prohibiting the debtor from being a debtor in another case under this title;

(22) subject to subsection (l), under subsection (a)(3), of the continuation of any eviction, unlawful detainer action, or similar proceeding by a lessor against a debtor involving residential property in which the debtor resides as a tenant under a lease or rental agreement and with respect to which the lessor has obtained before the date of the filing of the bankruptcy petition, a judgment for possession of such property against the debtor;

(23) subject to subsection (m), under subsection (a)(3), of an eviction action that seeks possession of the residential property in which the debtor resides as a tenant under a lease or rental agreement based on endangerment of such property or the illegal use of controlled substances on such property, but only if the lessor files with the court, and

serves upon the debtor, a certification under penalty of perjury that such an eviction action has been filed, or that the debtor, during the 30-day period preceding the date of the filing of the certification, has endangered property or illegally used or allowed to be used a controlled substance on the property;

(24) under subsection (a), of any transfer that is not avoidable under section 544 and that is not avoidable under section 549;

(25) under subsection (a), of--

(A) the commencement or continuation of an investigation or action by a securities self regulatory organization to enforce such organization's regulatory power;

(B) the enforcement of an order or decision, other than for monetary sanctions, obtained in an action by such securities self regulatory organization to enforce such organization's regulatory power; or

(C) any act taken by such securities self regulatory organization to delist, delete, or refuse to permit quotation of any stock that does not meet applicable regulatory requirements;

(26) under subsection (a), of the setoff under applicable nonbankruptcy law of an income tax refund, by a governmental unit, with respect to a taxable period that ended before the date of the order for relief against an income tax liability for a taxable period that also ended before the date of the order for relief, except that in any case in which the setoff of an income tax refund is not permitted under applicable nonbankruptcy law because of a pending action to determine the amount or legality of a tax liability, the governmental unit may hold the refund pending the resolution of the action, unless the court, on the motion of the trustee and after notice and a hearing, grants the taxing authority adequate protection (within the meaning of section 361) for the secured claim of such authority in the setoff under section 506(a);

(27) under subsection (a) of this section, of the exercise by a master netting agreement participant of any contractual right (as defined in section 555, 556, 559, or 560) under any security agreement or arrangement or other credit enhancement forming a part of or related to any master netting agreement, or of any contractual right (as defined in section 555, 556, 559, or 560) to offset or net out any termination value, payment amount, or other transfer obligation arising under or in connection with 1 or more such master netting agreements to the extent that such participant is eligible to exercise such rights under paragraph (6), (7), or (17) for each individual contract covered by the master netting agreement in issue; and

(28) under subsection (a), of the exclusion by the Secretary of Health and Human Services of the debtor from participation in the medicare program or any other Federal health care program (as defined in section 1128B(f) of the Social Security Act pursuant to title XI or XVIII of such Act).

The provisions of paragraphs (12) and (13) of this subsection shall apply with respect to any such petition filed on or before December 31, 1989.

(c) Except as provided in subsections (d), (e), (f), and (h) of this section--

(1) the stay of an act against property of the estate under subsection (a) of this section continues until such property is no longer property of the estate;

(2) the stay of any other act under subsection (a) of this section continues until the earliest of--

(A) the time the case is closed;

(B) the time the case is dismissed; or

(C) if the case is a case under chapter 7 of this title concerning an individual or a case under chapter 9, 11, 12, or 13 of this title, the time a discharge is granted or denied;

(3) if a single or joint case is filed by or against a debtor who is an individual in a case under chapter 7, 11, or 13, and if a single or joint case of the debtor was pending within the preceding 1-year period but was dismissed, other than a case refiled under a chapter other than chapter 7 after dismissal under section 707(b)--

(A) the stay under subsection (a) with respect to any action taken with respect to a debt or property securing such debt or with respect to any lease shall terminate with respect to the debtor on the 30th day after the filing of the later case;

(B) on the motion of a party in interest for continuation of the automatic stay and upon notice and a hearing, the court may extend the stay in particular cases as to any or all creditors (subject to such conditions or limitations as the court may then impose) after notice and a hearing completed before the expiration of the 30-day period only if the party in interest demonstrates that the filing of the later case is in good faith as to the creditors to be stayed; and

(C) for purposes of subparagraph (B), a case is presumptively filed not in good faith (but such presumption may be rebutted by clear and convincing evidence to the contrary)--

(i) as to all creditors, if--

(I) more than 1 previous case under any of chapters 7, 11, and 13 in which the individual was a debtor was pending within the preceding 1-year period;

(II) a previous case under any of chapters 7, 11, and 13 in which the individual was a debtor was dismissed within such 1-year period, after the debtor failed to--

(aa) file or amend the petition or other documents as required by this title or the court without substantial excuse (but mere inadvertence or negligence shall not be a substantial excuse unless the dismissal was caused by the negligence of the debtor's attorney);

(bb) provide adequate protection as ordered by the court; or

(cc) perform the terms of a plan confirmed by the court; or

(III) there has not been a substantial change in the financial or personal affairs of the debtor since the dismissal of the next most previous case under chapter 7, 11, or 13 or any other reason to conclude that the later case will be concluded--

(aa) if a case under chapter 7, with a discharge; or

(bb) if a case under chapter 11 or 13, with a confirmed plan that will be fully performed; and

(ii) as to any creditor that commenced an action under subsection (d) in a previous case in which the individual was a debtor if, as of the date of

dismissal of such case, that action was still pending or had been resolved by terminating, conditioning, or limiting the stay as to actions of such creditor; and

(4)(A)(i) if a single or joint case is filed by or against a debtor who is an individual under this title, and if 2 or more single or joint cases of the debtor were pending within the previous year but were dismissed, other than a case refiled under a chapter other than chapter 7 after dismissal under section 707(b), the stay under subsection (a) shall not go into effect upon the filing of the later case; and

(ii) on request of a party in interest, the court shall promptly enter an order confirming that no stay is in effect;

(B) if, within 30 days after the filing of the later case, a party in interest requests the court may order the stay to take effect in the case as to any or all creditors (subject to such conditions or limitations as the court may impose), after notice and a hearing, only if the party in interest demonstrates that the filing of the later case is in good faith as to the creditors to be stayed;

(C) a stay imposed under subparagraph (B) shall be effective on the date of the entry of the order allowing the stay to go into effect; and

(D) for purposes of subparagraph (B), a case is presumptively filed not in good faith (but such presumption may be rebutted by clear and convincing evidence to the contrary)--

(i) as to all creditors if--

(I) 2 or more previous cases under this title in which the individual was a debtor were pending within the 1-year period;

(II) a previous case under this title in which the individual was a debtor was dismissed within the time period stated in this paragraph after the debtor failed to file or amend the petition or other documents as required by this title or the court without substantial excuse (but mere inadvertence or negligence shall not be substantial excuse unless the dismissal was caused by the negligence of the debtor's attorney), failed to provide adequate protection as ordered by the court, or failed to perform the terms of a plan confirmed by the court; or

(III) there has not been a substantial change in the financial or personal affairs of the debtor since the dismissal of the next most previous case under this title, or any other reason to conclude that the later case will not be concluded, if a case under chapter 7, with a discharge, and if a case under chapter 11 or 13, with a confirmed plan that will be fully performed; or

(ii) as to any creditor that commenced an action under subsection (d) in a previous case in which the individual was a debtor if, as of the date of dismissal of such case, such action was still pending or had been resolved by terminating, conditioning, or limiting the stay as to such action of such creditor.

(d) On request of a party in interest and after notice and a hearing, the court shall grant relief from the stay provided under subsection (a) of this section, such as by terminating, annulling, modifying, or conditioning such stay--

(1) for cause, including the lack of adequate protection of an interest in property of such party in interest;
(2) with respect to a stay of an act against property under subsection (a) of this section, if—
(A) the debtor does not have an equity in such property; and
(B) such property is not necessary to an effective reorganization;
(3) with respect to a stay of an act against single asset real estate under subsection (a), by a creditor whose claim is secured by an interest in such real estate, unless, not later than the date that is 90 days after the entry of the order for relief (or such later date as the court may determine for cause by order entered within that 90-day period) or 30 days after the court determines that the debtor is subject to this paragraph, whichever is later--
(A) the debtor has filed a plan of reorganization that has a reasonable possibility of being confirmed within a reasonable time; or
(B) the debtor has commenced monthly payments that--
(i) may, in the debtor's sole discretion, notwithstanding section 363(c)(2), be made from rents or other income generated before, on, or after the date of the commencement of the case by or from the property to each creditor whose claim is secured by such real estate (other than a claim secured by a judgment lien or by an unmatured statutory lien); and
(ii) are in an amount equal to interest at the then applicable nondefault contract rate of interest on the value of the creditor's interest in the real estate; or
(4) with respect to a stay of an act against real property under subsection (a), by a creditor whose claim is secured by an interest in such real property, if the court finds that the filing of the petition was part of a scheme to delay, hinder, or defraud creditors that involved either--
(A) transfer of all or part ownership of, or other interest in, such real property without the consent of the secured creditor or court approval; or
(B) multiple bankruptcy filings affecting such real property.

If recorded in compliance with applicable State laws governing notices of interests or liens in real property, an order entered under paragraph (4) shall be binding in any other case under this title purporting to affect such real property filed not later than 2 years after the date of the entry of such order by the court, except that a debtor in a subsequent case under this title may move for relief from such order based upon changed circumstances or for good cause shown, after notice and a hearing. Any Federal, State, or local governmental unit that accepts notices of interests or liens in real property shall accept any certified copy of an order described in this subsection for indexing and recording.

(e)(1) Thirty days after a request under subsection (d) of this section for relief from the stay of any act against property of the estate under subsection (a) of this section, such stay is terminated with respect to the party in interest making such request, unless the court, after notice and a hearing, orders such stay continued in effect pending the conclusion of, or as a result of, a final hearing and determination under subsection (d) of this section. A hearing under this subsection may be a preliminary hearing, or may be consolidated with the final hearing under subsection (d) of this section. The court shall order such stay continued in effect pending the conclusion of the

final hearing under subsection (d) of this section if there is a reasonable likelihood that the party opposing relief from such stay will prevail at the conclusion of such final hearing. If the hearing under this subsection is a preliminary hearing, then such final hearing shall be concluded not later than thirty days after the conclusion of such preliminary hearing, unless the 30-day period is extended with the consent of the parties in interest or for a specific time which the court finds is required by compelling circumstances.

(2) Notwithstanding paragraph (1), in a case under chapter 7, 11, or 13 in which the debtor is an individual, the stay under subsection (a) shall terminate on the date that is 60 days after a request is made by a party in interest under subsection (d), unless--

(A) a final decision is rendered by the court during the 60-day period beginning on the date of the request; or

(B) such 60-day period is extended--

(i) by agreement of all parties in interest; or

(ii) by the court for such specific period of time as the court finds is required for good cause, as described in findings made by the court.

(f) Upon request of a party in interest, the court, with or without a hearing, shall grant such relief from the stay provided under subsection (a) of this section as is necessary to prevent irreparable damage to the interest of an entity in property, if such interest will suffer such damage before there is an opportunity for notice and a hearing under subsection (d) or (e) of this section.

(g) In any hearing under subsection (d) or (e) of this section concerning relief from the stay of any act under subsection (a) of this section--

(1) the party requesting such relief has the burden of proof on the issue of the debtor's equity in property; and

(2) the party opposing such relief has the burden of proof on all other issues.

(h)(1) In a case in which the debtor is an individual, the stay provided by subsection (a) is terminated with respect to personal property of the estate or of the debtor securing in whole or in part a claim, or subject to an unexpired lease, and such personal property shall no longer be property of the estate if the debtor fails within the applicable time set by section 521(a)(2)--

(A) to file timely any statement of intention required under section 521(a)(2) with respect to such personal property or to indicate in such statement that the debtor will either surrender such personal property or retain it and, if retaining such personal property, either redeem such personal property pursuant to section 722, enter into an agreement of the kind specified in section 524(c) applicable to the debt secured by such personal property, or assume such unexpired lease pursuant to section 365(p) if the trustee does not do so, as applicable; and

(B) to take timely the action specified in such statement, as it may be amended before expiration of the period for taking action, unless such statement specifies the debtor's intention to reaffirm such debt on the original contract terms and the creditor refuses to agree to the reaffirmation on such terms.

(2) Paragraph (1) does not apply if the court determines, on the motion of the trustee filed before the expiration of the applicable time set by section 521(a)(2), after notice and a hearing, that such personal property is of consequential value or benefit to the estate, and orders appropriate adequate protection of the creditor's interest, and orders the debtor to deliver any collateral in the

debtor's possession to the trustee. If the court does not so determine, the stay provided by subsection (a) shall terminate upon the conclusion of the hearing on the motion.

(i) If a case commenced under chapter 7, 11, or 13 is dismissed due to the creation of a debt repayment plan, for purposes of subsection (c)(3), any subsequent case commenced by the debtor under any such chapter shall not be presumed to be filed not in good faith.

(j) On request of a party in interest, the court shall issue an order under subsection (c) confirming that the automatic stay has been terminated.

(k)(1) Except as provided in paragraph (2), an individual injured by any willful violation of a stay provided by this section shall recover actual damages, including costs and attorneys' fees, and, in appropriate circumstances, may recover punitive damages.
(2) If such violation is based on an action taken by an entity in the good faith belief that subsection (h) applies to the debtor, the recovery under paragraph (1) of this subsection against such entity shall be limited to actual damages.
(l)(1) Except as otherwise provided in this subsection, subsection (b)(22) shall apply on the date that is 30 days after the date on which the bankruptcy petition is filed, if the debtor files with the petition and serves upon the lessor a certification under penalty of perjury that--

(A) under nonbankruptcy law applicable in the jurisdiction, there are circumstances under which the debtor would be permitted to cure the entire monetary default that gave rise to the judgment for possession, after that judgment for possession was entered; and
(B) the debtor (or an adult dependent of the debtor) has deposited with the clerk of the court, any rent that would become due during the 30-day period after the filing of the bankruptcy petition.

(2) If, within the 30-day period after the filing of the bankruptcy petition, the debtor (or an adult dependent of the debtor) complies with paragraph (1) and files with the court and serves upon the lessor a further certification under penalty of perjury that the debtor (or an adult dependent of the debtor) has cured, under nonbankruptcy law applicable in the jurisdiction, the entire monetary default that gave rise to the judgment under which possession is sought by the lessor, subsection (b)(22) shall not apply, unless ordered to apply by the court under paragraph (3).
(3)(A) If the lessor files an objection to any certification filed by the debtor under paragraph (1) or (2), and serves such objection upon the debtor, the court shall hold a hearing within 10 days after the filing and service of such objection to determine if the certification filed by the debtor under paragraph (1) or (2) is true.
(B) If the court upholds the objection of the lessor filed under subparagraph (A)--

(i) subsection (b)(22) shall apply immediately and relief from the stay provided under subsection (a)(3) shall not be required to enable the lessor to complete the process to recover full possession of the property; and
(ii) the clerk of the court shall immediately serve upon the lessor and the debtor a certified copy of the court's order upholding the lessor's objection.

(4) If a debtor, in accordance with paragraph (5), indicates on the petition that there was a judgment for possession of the residential rental property in which the debtor resides and does not file a certification under paragraph (1) or (2)--

(A) subsection (b)(22) shall apply immediately upon failure to file such certification, and relief from the stay provided under subsection (a)(3) shall not be required to enable the lessor to complete the process to recover full possession of the property; and

(B) the clerk of the court shall immediately serve upon the lessor and the debtor a certified copy of the docket indicating the absence of a filed certification and the applicability of the exception to the stay under subsection (b)(22).

(5)(A) Where a judgment for possession of residential property in which the debtor resides as a tenant under a lease or rental agreement has been obtained by the lessor, the debtor shall so indicate on the bankruptcy petition and shall provide the name and address of the lessor that obtained that pre-petition judgment on the petition and on any certification filed under this subsection.

(B) The form of certification filed with the petition, as specified in this subsection, shall provide for the debtor to certify, and the debtor shall certify--

(i) whether a judgment for possession of residential rental housing in which the debtor resides has been obtained against the debtor before the date of the filing of the petition; and

(ii) whether the debtor is claiming under paragraph (1) that under nonbankruptcy law applicable in the jurisdiction, there are circumstances under which the debtor would be permitted to cure the entire monetary default that gave rise to the judgment for possession, after that judgment of possession was entered, and has made the appropriate deposit with the court.

(C) The standard forms (electronic and otherwise) used in a bankruptcy proceeding shall be amended to reflect the requirements of this subsection.

(D) The clerk of the court shall arrange for the prompt transmittal of the rent deposited in accordance with paragraph (1)(B) to the lessor.

(m)(1) Except as otherwise provided in this subsection, subsection (b)(23) shall apply on the date that is 15 days after the date on which the lessor files and serves a certification described in subsection (b)(23).

(2)(A) If the debtor files with the court an objection to the truth or legal sufficiency of the certification described in subsection (b)(23) and serves such objection upon the lessor, subsection (b)(23) shall not apply, unless ordered to apply by the court under this subsection.

(B) If the debtor files and serves the objection under subparagraph (A), the court shall hold a hearing within 10 days after the filing and service of such objection to determine if the situation giving rise to the lessor's certification under paragraph (1) existed or has been remedied.

(C) If the debtor can demonstrate to the satisfaction of the court that the situation giving rise to the lessor's certification under paragraph (1) did not exist or has been remedied, the stay provided under subsection (a)(3) shall remain in effect until the termination of the stay under this section.

(D) If the debtor cannot demonstrate to the satisfaction of the court that the situation giving rise to the lessor's certification under paragraph (1) did not exist or has been remedied--

(i) relief from the stay provided under subsection (a)(3) shall not be required to enable the lessor to proceed with the eviction; and

(ii) the clerk of the court shall immediately serve upon the lessor and the debtor a certified copy of the court's order upholding the lessor's certification.

(3) If the debtor fails to file, within 15 days, an objection under paragraph (2)(A)--

(A) subsection (b)(23) shall apply immediately upon such failure and relief from the stay provided under subsection (a)(3) shall not be required to enable the lessor to complete the process to recover full possession of the property; and
(B) the clerk of the court shall immediately serve upon the lessor and the debtor a certified copy of the docket indicating such failure.

(n)(1) Except as provided in paragraph (2), subsection (a) does not apply in a case in which the debtor--
(A) is a debtor in a small business case pending at the time the petition is filed;
(B) was a debtor in a small business case that was dismissed for any reason by an order that became final in the 2-year period ending on the date of the order for relief entered with respect to the petition;
(C) was a debtor in a small business case in which a plan was confirmed in the 2-year period ending on the date of the order for relief entered with respect to the petition; or
(D) is an entity that has acquired substantially all of the assets or business of a small business debtor described in subparagraph (A), (B), or (C), unless such entity establishes by a preponderance of the evidence that such entity acquired substantially all of the assets or business of such small business debtor in good faith and not for the purpose of evading this paragraph.
(2) Paragraph (1) does not apply--
(A) to an involuntary case involving no collusion by the debtor with creditors; or
(B) to the filing of a petition if--
(i) the debtor proves by a preponderance of the evidence that the filing of the petition resulted from circumstances beyond the control of the debtor not foreseeable at the time the case then pending was filed; and
(ii) it is more likely than not that the court will confirm a feasible plan, but not a liquidating plan, within a reasonable period of time.

(o) The exercise of rights not subject to the stay arising under subsection (a) pursuant to paragraph (6), (7), (17), or (27) of subsection (b) shall not be stayed by any order of a court or administrative agency in any proceeding under this title.

APPENDIX E

11 U.S.C. § 363 (2012).

Use, sale, or lease of property.

(a) In this section, "cash collateral" means cash, negotiable instruments, documents of title, securities, deposit accounts, or other cash equivalents whenever acquired in which the estate and an entity other than the estate have an interest and includes the proceeds, products, offspring, rents, or profits of property and the fees, charges, accounts or other payments for the use or occupancy of rooms and other public facilities in hotels, motels, or other lodging properties subject to a security interest as provided in section 552(b) of this title, whether existing before or after the commencement of a case under this title.

(b)(1) The trustee, after notice and a hearing, may use, sell, or lease, other than in the ordinary course of business, property of the estate, except that if the debtor in connection with offering a product or a service discloses to an individual a policy prohibiting the transfer of personally identifiable information about individuals to persons that are not affiliated with the debtor and if such policy is in effect on the date of the commencement of the case, then the trustee may not sell or lease personally identifiable information to any person unless—

> (A) such sale or such lease is consistent with such policy; or
>
> (B) after appointment of a consumer privacy ombudsman in accordance with section 332, and after notice and a hearing, the court approves such sale or such lease—
>
> > (i) giving due consideration to the facts, circumstances, and conditions of such sale or such lease; and
> >
> > (ii) finding that no showing was made that such sale or such lease would violate applicable nonbankruptcy law.

(2) If notification is required under subsection (a) of section 7A of the Clayton Act in the case of a transaction under this subsection, then--

> (A) notwithstanding subsection (a) of such section, the notification required by such subsection to be given by the debtor shall be given by the trustee; and
>
> (B) notwithstanding subsection (b) of such section, the required waiting period shall end on the 15th day after the date of the receipt, by the Federal Trade Commission and the Assistant Attorney General in charge of the Antitrust Division of the Department of Justice, of the notification required under such subsection (a), unless such waiting period is extended—
>
> > (i) pursuant to subsection (e)(2) of such section, in the same manner as such subsection (e)(2) applies to a cash tender offer;

(ii) pursuant to subsection (g)(2) of such section; or

(iii) by the court after notice and a hearing.

(c)(1) If the business of the debtor is authorized to be operated under section 721, 1108, 1203, 1204, or 1304 of this title and unless the court orders otherwise, the trustee may enter into transactions, including the sale or lease of property of the estate, in the ordinary course of business, without notice or a hearing, and may use property of the estate in the ordinary course of business without notice or a hearing.

(2) The trustee may not use, sell, or lease cash collateral under paragraph (1) of this subsection unless—

(A) each entity that has an interest in such cash collateral consents; or

(B) the court, after notice and a hearing, authorizes such use, sale, or lease in accordance with the provisions of this section.

(3) Any hearing under paragraph (2)(B) of this subsection may be a preliminary hearing or may be consolidated with a hearing under subsection (e) of this section, but shall be scheduled in accordance with the needs of the debtor. If the hearing under paragraph (2)(B) of this subsection is a preliminary hearing, the court may authorize such use, sale, or lease only if there is a reasonable likelihood that the trustee will prevail at the final hearing under subsection (e) of this section. The court shall act promptly on any request for authorization under paragraph (2)(B) of this subsection.

(4) Except as provided in paragraph (2) of this subsection, the trustee shall segregate and account for any cash collateral in the trustee's possession, custody, or control.

(d) The trustee may use, sell, or lease property under subsection (b) or (c) of this section--

(1) in the case of a debtor that is a corporation or trust that is not a moneyed business, commercial corporation, or trust, only in accordance with nonbankruptcy law applicable to the transfer of property by a debtor that is such a corporation or trust; and

(2) only to the extent not inconsistent with any relief granted under subsection (c), (d), (e), or (f) of section 362.

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

(f) The trustee may sell property under subsection (b) or (c) of this section free and clear of any interest in such property of an entity other than the estate, only if--

(1) applicable nonbankruptcy law permits sale of such property free and clear of such interest;

(2) such entity consents;

(3) such interest is a lien and the price at which such property is to be sold is greater than the aggregate value of all liens on such property;

(4) such interest is in bona fide dispute; or

(5) such entity could be compelled, in a legal or equitable proceeding, to accept a money satisfaction of such interest.

(g) Notwithstanding subsection (f) of this section, the trustee may sell property under subsection (b) or (c) of this section free and clear of any vested or contingent right in the nature of dower or curtesy.

(h) Notwithstanding subsection (f) of this section, the trustee may sell both the estate's interest, under subsection (b) or (c) of this section, and the interest of any co-owner in property in which the debtor had, at the time of the commencement of the case, an undivided interest as a tenant in common, joint tenant, or tenant by the entirety, only if--

(1) partition in kind of such property among the estate and such co-owners is impracticable;

(2) sale of the estate's undivided interest in such property would realize significantly less for the estate than sale of such property free of the interests of such co-owners;

(3) the benefit to the estate of a sale of such property free of the interests of co-owners outweighs the detriment, if any, to such co-owners; and

(4) such property is not used in the production, transmission, or distribution, for sale, of electric energy or of natural or synthetic gas for heat, light, or power.

(i) Before the consummation of a sale of property to which subsection (g) or (h) of this section applies, or of property of the estate that was community property of the debtor and the debtor's spouse immediately before the commencement of the case, the debtor's spouse, or a co-owner of such property, as the case may be, may purchase such property at the price at which such sale is to be consummated.

(j) After a sale of property to which subsection (g) or (h) of this section applies, the trustee shall distribute to the debtor's spouse or the co-owners of such property, as the case may be, and to the

estate, the proceeds of such sale, less the costs and expenses, not including any compensation of the trustee, of such sale, according to the interests of such spouse or co-owners, and of the estate.

(k) At a sale under subsection (b) of this section of property that is subject to a lien that secures an allowed claim, unless the court for cause orders otherwise the holder of such claim may bid at such sale, and, if the holder of such claim purchases such property, such holder may offset such claim against the purchase price of such property.

(l) Subject to the provisions of section 365, the trustee may use, sell, or lease property under subsection (b) or (c) of this section, or a plan under chapter 11, 12, or 13 of this title may provide for the use, sale, or lease of property, notwithstanding any provision in a contract, a lease, or applicable law that is conditioned on the insolvency or financial condition of the debtor, on the commencement of a case under this title concerning the debtor, or on the appointment of or the taking possession by a trustee in a case under this title or a custodian, and that effects, or gives an option to effect, a forfeiture, modification, or termination of the debtor's interest in such property.

(m) The reversal or modification on appeal of an authorization under subsection (b) or (c) of this section of a sale or lease of property does not affect the validity of a sale or lease under such authorization to an entity that purchased or leased such property in good faith, whether or not such entity knew of the pendency of the appeal, unless such authorization and such sale or lease were stayed pending appeal.

(n) The trustee may avoid a sale under this section if the sale price was controlled by an agreement among potential bidders at such sale, or may recover from a party to such agreement any amount by which the value of the property sold exceeds the price at which such sale was consummated, and may recover any costs, attorneys' fees, or expenses incurred in avoiding such sale or recovering such amount. In addition to any recovery under the preceding sentence, the court may grant judgment for punitive damages in favor of the estate and against any such party that entered into such an agreement in willful disregard of this subsection.

(o) Notwithstanding subsection (f), if a person purchases any interest in a consumer credit transaction that is subject to the Truth in Lending Act or any interest in a consumer credit contract (as defined in section 433.1 of title 16 of the Code of Federal Regulations (January 1, 2004), as amended from time to time), and if such interest is purchased through a sale under this section, then such person shall remain subject to all claims and defenses that are related to such consumer credit transaction or such consumer credit contract, to the same extent as such person would be subject to such claims and defenses of the consumer had such interest been purchased at a sale not under this section.

(p) In any hearing under this section--

(1) the trustee has the burden of proof on the issue of adequate protection; and

(2) the entity asserting an interest in property has the burden of proof on the issue of the validity, priority, or extent of such interest.

APPENDIX F

11 U.S.C. § 503 (2012).

Allowance of administrative expenses.

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including--

(1)(A) the actual, necessary costs and expenses of preserving the estate including--

(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(ii) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(B) any tax--

(i) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title; or

(ii) attributable to an excessive allowance of a tentative carryback adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

(C) any fine, penalty, or reduction in credit relating to a tax of a kind specified in subparagraph (B) of this paragraph; and

(D) notwithstanding the requirements of subsection (a), a governmental unit shall not be required to file a request for the payment of an expense described in subparagraph (B) or (C), as a condition of its being an allowed administrative expense;

(2) compensation and reimbursement awarded under section 330(a) of this title;

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--

(A) a creditor that files a petition under section 303 of this title;

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed

under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(E) a custodian superseded under section 543 of this title, and compensation for the services of such custodian; or

(F) a member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee;

(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

(5) reasonable compensation for services rendered by an indenture trustee in making a substantial contribution in a case under chapter 9 or 11 of this title, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title;

(6) the fees and mileage payable under chapter 119 of title 28;

(7) with respect to a nonresidential real property lease previously assumed under section 365, and subsequently rejected, a sum equal to all monetary obligations due, excluding those arising from or relating to a failure to operate or a penalty provision, for the period of 2 years following the later of the rejection date or the date of actual turnover of the premises, without reduction or setoff for any reason whatsoever except for sums actually received or to be received from an entity other than the debtor, and the claim for remaining sums due for the balance of the term of the lease shall be a claim under section 502(b)(6);

(8) the actual, necessary costs and expenses of closing a health care business incurred by a trustee or by a Federal agency (as defined in section 551(1) of title 5) or a department or agency of a State or political subdivision thereof, including any cost or expense incurred—

(A) in disposing of patient records in accordance with section 351; or

(B) in connection with transferring patients from the health care business that is in the process of being closed to another health care business; and

(9) the value of any goods received by the debtor within 20 days before the date of commencement of a case under this title in which the goods have been sold to the debtor in the ordinary course of such debtor's business.

(c) Notwithstanding subsection (b), there shall neither be allowed, nor paid--

(1) a transfer made to, or an obligation incurred for the benefit of, an insider of the debtor for the purpose of inducing such person to remain with the debtor's business, absent a finding by the court based on evidence in the record that--

(A) the transfer or obligation is essential to retention of the person because the individual has a bona fide job offer from another business at the same or greater rate of compensation;

(B) the services provided by the person are essential to the survival of the business; and

(C) either--

(i) the amount of the transfer made to, or obligation incurred for the benefit of, the person is not greater than an amount equal to 10 times the amount of the mean transfer or obligation of a similar kind given to nonmanagement employees for any purpose during the calendar year in which the transfer is made or the obligation is incurred; or

(ii) if no such similar transfers were made to, or obligations were incurred for the benefit of, such nonmanagement employees during such calendar year, the amount of the transfer or obligation is not greater than an amount equal to 25 percent of the amount of any similar transfer or obligation made to or incurred for the benefit of such insider for any purpose during the calendar year before the year in which such transfer is made or obligation is incurred;

(2) a severance payment to an insider of the debtor, unless--

(A) the payment is part of a program that is generally applicable to all full-time employees; and

(B) the amount of the payment is not greater than 10 times the amount of the mean severance pay given to nonmanagement employees during the calendar year in which the payment is made; or

(3) other transfers or obligations that are outside the ordinary course of business and not justified by the facts and circumstances of the case, including transfers made to, or obligations incurred for the benefit of, officers, managers, or consultants hired after the date of the filing of the petition.

APPENDIX G

11 U.S.C. § 522 (2012).

Exemptions.

(a) In this section--

(1) "dependent" includes spouse, whether or not actually dependent; and
(2) "value" means fair market value as of the date of the filing of the petition or, with respect to property that becomes property of the estate after such date, as of the date such property becomes property of the estate.

(b)(1) Notwithstanding section 541 of this title, an individual debtor may exempt from property of the estate the property listed in either paragraph (2) or, in the alternative, paragraph (3) of this subsection. In joint cases filed under section 302 of this title and individual cases filed under section 301or 303 of this title by or against debtors who are husband and wife, and whose estates are ordered to be jointly administered under Rule 1015(b) of the Federal Rules of Bankruptcy Procedure, one debtor may not elect to exempt property listed in paragraph (2) and the other debtor elect to exempt property listed in paragraph (3) of this subsection. If the parties cannot agree on the alternative to be elected, they shall be deemed to elect paragraph (2), where such election is permitted under the law of the jurisdiction where the case is filed.

(2) Property listed in this paragraph is property that is specified under subsection (d), unless the State law that is applicable to the debtor under paragraph (3)(A) specifically does not so authorize.

(3) Property listed in this paragraph is--

(A) subject to subsections (o) and (p), any property that is exempt under Federal law, other than subsection (d) of this section, or State or local law that is applicable on the date of the filing of the petition to the place in which the debtor's domicile has been located for the 730 days immediately preceding the date of the filing of the petition or if the debtor's domicile has not been located in a single State for such 730-day period, the place in which the debtor's domicile was located for 180 days immediately preceding the 730-day period or for a longer portion of such 180-day period than in any other place;
(B) any interest in property in which the debtor had, immediately before the commencement of the case, an interest as a tenant by the entirety or joint tenant to the extent that such interest as a tenant by the entirety or joint tenant is exempt from process under applicable nonbankruptcy law; and
(C) retirement funds to the extent that those funds are in a fund or account that is exempt from taxation under section 401, 403, 408, 408A, 414, 457, or 501(a) of the Internal Revenue Code of 1986.

If the effect of the domiciliary requirement under subparagraph (A) is to render the debtor ineligible for any exemption, the debtor may elect to exempt property that is specified under subsection (d).

(4) For purposes of paragraph (3)(C) and subsection (d)(12), the following shall apply:

(A) If the retirement funds are in a retirement fund that has received a favorable determination under section 7805 of the Internal Revenue Code of 1986, and that determination is in effect as of the date of the filing of the petition in a case under this title, those funds shall be presumed to be exempt from the estate.

(B) If the retirement funds are in a retirement fund that has not received a favorable determination under such section 7805, those funds are exempt from the estate if the debtor demonstrates that--

(i) no prior determination to the contrary has been made by a court or the Internal Revenue Service; and

(ii)(I) the retirement fund is in substantial compliance with the applicable requirements of the Internal Revenue Code of 1986; or

(II) the retirement fund fails to be in substantial compliance with the applicable requirements of the Internal Revenue Code of 1986 and the debtor is not materially responsible for that failure.

(C) A direct transfer of retirement funds from 1 fund or account that is exempt from taxation under section 401, 403, 408, 408A, 414, 457, or 501(a) of the Internal Revenue Code of 1986, under section 401(a)(31) of the Internal Revenue Code of 1986, or otherwise, shall not cease to qualify for exemption under paragraph (3)(C) or subsection (d)(12) by reason of such direct transfer.

(D)(i) Any distribution that qualifies as an eligible rollover distribution within the meaning of section 402(c) of the Internal Revenue Code of 1986 or that is described in clause (ii) shall not cease to qualify for exemption under paragraph (3)(C) or subsection (d)(12) by reason of such distribution.

(ii) A distribution described in this clause is an amount that--

(I) has been distributed from a fund or account that is exempt from taxation under section 401, 403, 408, 408A, 414, 457, or 501(a) of the Internal Revenue Code of 1986; and

(II) to the extent allowed by law, is deposited in such a fund or account not later than 60 days after the distribution of such amount.

(c) Unless the case is dismissed, property exempted under this section is not liable during or after the case for any debt of the debtor that arose, or that is determined under section 502 of this title as if such debt had arisen, before the commencement of the case, except--

(1) a debt of a kind specified in paragraph (1) or (5) of section 523(a) (in which case, notwithstanding any provision of applicable nonbankruptcy law to the contrary, such property shall be liable for a debt of a kind specified in such paragraph);

(2) a debt secured by a lien that is--

(A)(i) not avoided under subsection (f) or (g) of this section or under section 544, 545, 547, 548, 549, or 724(a) of this title; and

(ii) not void under section 506(d) of this title; or

(B) a tax lien, notice of which is properly filed;

(3) a debt of a kind specified in section 523(a)(4) or 523(a)(6) of this title owed by an institution-affiliated party of an insured depository institution to a Federal depository institutions regulatory agency acting in its capacity as conservator, receiver, or liquidating agent for such institution; or

(4) a debt in connection with fraud in the obtaining or providing of any scholarship, grant, loan, tuition, discount, award, or other financial assistance for purposes of financing an education at an institution of higher education (as that term is defined in section 101 of the Higher Education Act of 1965 (20 U.S.C. 1001)).

(d) The following property may be exempted under subsection (b)(2) of this section:

(1) The debtor's aggregate interest, not to exceed $23,6751 in value, in real property or personal property that the debtor or a dependent of the debtor uses as a residence, in a cooperative that owns property that the debtor or a dependent of the debtor uses as a residence, or in a burial plot for the debtor or a dependent of the debtor.

(2) The debtor's interest, not to exceed $3,7751 in value, in one motor vehicle.

(3) The debtor's interest, not to exceed $6001 in value in any particular item or $12,6251 in aggregate value, in household furnishings, household goods, wearing apparel, appliances, books, animals, crops, or musical instruments, that are held primarily for the personal, family, or household use of the debtor or a dependent of the debtor.

(4) The debtor's aggregate interest, not to exceed $1,6001 in value, in jewelry held primarily for the personal, family, or household use of the debtor or a dependent of the debtor.

(5) The debtor's aggregate interest in any property, not to exceed in value $1,2501 plus up to $11,8501 of any unused amount of the exemption provided under paragraph (1) of this subsection.

(6) The debtor's aggregate interest, not to exceed $2,3751 in value, in any implements, professional books, or tools, of the trade of the debtor or the trade of a dependent of the debtor.

(7) Any unmatured life insurance contract owned by the debtor, other than a credit life insurance contract.

(8) The debtor's aggregate interest, not to exceed in value $12,6251 less any amount of property of the estate transferred in the manner specified in section 542(d) of this title, in any accrued dividend or interest under, or loan value of, any unmatured life insurance contract owned by the debtor under which the insured is the debtor or an individual of whom the debtor is a dependent.

(9) Professionally prescribed health aids for the debtor or a dependent of the debtor.

(10) The debtor's right to receive--

(A) a social security benefit, unemployment compensation, or a local public assistance benefit;

(B) a veterans' benefit;

(C) a disability, illness, or unemployment benefit;

(D) alimony, support, or separate maintenance, to the extent reasonably necessary for the support of the debtor and any dependent of the debtor;

(E) a payment under a stock bonus, pension, profitsharing, annuity, or similar plan or contract on account of illness, disability, death, age, or length of service, to the extent reasonably necessary for the support of the debtor and any dependent of the debtor, unless--

(i) such plan or contract was established by or under the auspices of an insider that employed the debtor at the time the debtor's rights under such plan or contract arose;

(ii) such payment is on account of age or length of service; and
(iii) such plan or contract does not qualify under section 401(a), 403(a), 403(b), or 408 of the Internal Revenue Code of 1986.

(11) The debtor's right to receive, or property that is traceable to--
(A) an award under a crime victim's reparation law;
(B) a payment on account of the wrongful death of an individual of whom the debtor was a dependent, to the extent reasonably necessary for the support of the debtor and any dependent of the debtor;
(C) a payment under a life insurance contract that insured the life of an individual of whom the debtor was a dependent on the date of such individual's death, to the extent reasonably necessary for the support of the debtor and any dependent of the debtor;
(D) a payment, not to exceed $23,675,1 on account of personal bodily injury, not including pain and suffering or compensation for actual pecuniary loss, of the debtor or an individual of whom the debtor is a dependent; or
(E) a payment in compensation of loss of future earnings of the debtor or an individual of whom the debtor is or was a dependent, to the extent reasonably necessary for the support of the debtor and any dependent of the debtor.

(12) Retirement funds to the extent that those funds are in a fund or account that is exempt from taxation under section 401, 403, 408, 408A, 414, 457, or 501(a) of the Internal Revenue Code of 1986.

(e) A waiver of an exemption executed in favor of a creditor that holds an unsecured claim against the debtor is unenforceable in a case under this title with respect to such claim against property that the debtor may exempt under subsection (b) of this section. A waiver by the debtor of a power under subsection (f) or (h) of this section to avoid a transfer, under subsection (g) or (i) of this section to exempt property, or under subsection (i) of this section to recover property or to preserve a transfer, is unenforceable in a case under this title.

(f)(1) Notwithstanding any waiver of exemptions but subject to paragraph (3), the debtor may avoid the fixing of a lien on an interest of the debtor in property to the extent that such lien impairs an exemption to which the debtor would have been entitled under subsection (b) of this section, if such lien is--
(A) a judicial lien, other than a judicial lien that secures a debt of a kind that is specified in section 523(a)(5); or
(B) a nonpossessory, nonpurchase-money security interest in any--
(i) household furnishings, household goods, wearing apparel, appliances, books, animals, crops, musical instruments, or jewelry that are held primarily for the personal, family, or household use of the debtor or a dependent of the debtor;
(ii) implements, professional books, or tools, of the trade of the debtor or the trade of a dependent of the debtor; or
(iii) professionally prescribed health aids for the debtor or a dependent of the debtor.

(2)(A) For the purposes of this subsection, a lien shall be considered to impair an exemption to the extent that the sum of--
(i) the lien;

(ii) all other liens on the property; and
(iii) the amount of the exemption that the debtor could claim if there were no liens on the property;

exceeds the value that the debtor's interest in the property would have in the absence of any liens.

(B) In the case of a property subject to more than 1 lien, a lien that has been avoided shall not be considered in making the calculation under subparagraph (A) with respect to other liens.

(C) This paragraph shall not apply with respect to a judgment arising out of a mortgage foreclosure.

(3) In a case in which State law that is applicable to the debtor--
(A) permits a person to voluntarily waive a right to claim exemptions under subsection (d) or prohibits a debtor from claiming exemptions under subsection (d); and
(B) either permits the debtor to claim exemptions under State law without limitation in amount, except to the extent that the debtor has permitted the fixing of a consensual lien on any property or prohibits avoidance of a consensual lien on property otherwise eligible to be claimed as exempt property;

the debtor may not avoid the fixing of a lien on an interest of the debtor or a dependent of the debtor in property if the lien is a nonpossessory, nonpurchase-money security interest in implements, professional books, or tools of the trade of the debtor or a dependent of the debtor or farm animals or crops of the debtor or a dependent of the debtor to the extent the value of such implements, professional books, tools of the trade, animals, and crops exceeds $6,4251.

(4)(A) Subject to subparagraph (B), for purposes of paragraph (1)(B), the term “household goods” means--
(i) clothing;
(ii) furniture;
(iii) appliances;
(iv) 1 radio;
(v) 1 television;
(vi) 1 VCR;
(vii) linens;
(viii) china;
(ix) crockery;
(x) kitchenware;
(xi) educational materials and educational equipment primarily for the use of minor dependent children of the debtor;
(xii) medical equipment and supplies;
(xiii) furniture exclusively for the use of minor children, or elderly or disabled dependents of the debtor;
(xiv) personal effects (including the toys and hobby equipment of minor dependent children and wedding rings) of the debtor and the dependents of the debtor; and
(xv) 1 personal computer and related equipment.

(B) The term "household goods" does not include--

(i) works of art (unless by or of the debtor, or any relative of the debtor);
(ii) electronic entertainment equipment with a fair market value of more than $6751 in the aggregate (except 1 television, 1 radio, and 1 VCR);
(iii) items acquired as antiques with a fair market value of more than $6751 in the aggregate;
(iv) jewelry with a fair market value of more than $6751 in the aggregate (except wedding rings); and
(v) a computer (except as otherwise provided for in this section), motor vehicle (including a tractor or lawn tractor), boat, or a motorized recreational device, conveyance, vehicle, watercraft, or aircraft.

(g) Notwithstanding sections 550 and 551 of this title, the debtor may exempt under subsection (b) of this section property that the trustee recovers under section 510(c)(2), 542, 543, 550, 551, or 553 of this title, to the extent that the debtor could have exempted such property under subsection (b) of this section if such property had not been transferred, if--

(1)(A) such transfer was not a voluntary transfer of such property by the debtor; and
(B) the debtor did not conceal such property; or
(2) the debtor could have avoided such transfer under subsection (f)(1)(B) of this section.

(h) The debtor may avoid a transfer of property of the debtor or recover a setoff to the extent that the debtor could have exempted such property under subsection (g)(1) of this section if the trustee had avoided such transfer, if--

(1) such transfer is avoidable by the trustee under section 544, 545, 547, 548, 549, or 724(a) of this title or recoverable by the trustee under section 553 of this title; and
(2) the trustee does not attempt to avoid such transfer.

(i)(1) If the debtor avoids a transfer or recovers a setoff under subsection (f) or (h) of this section, the debtor may recover in the manner prescribed by, and subject to the limitations of, section 550 of this title, the same as if the trustee had avoided such transfer, and may exempt any property so recovered under subsection (b) of this section.

(2) Notwithstanding section 551 of this title, a transfer avoided under section 544, 545, 547, 548, 549, or 724(a) of this title, under subsection (f) or (h) of this section, or property recovered under section 553 of this title, may be preserved for the benefit of the debtor to the extent that the debtor may exempt such property under subsection (g) of this section or paragraph (1) of this subsection.

(j) Notwithstanding subsections (g) and (i) of this section, the debtor may exempt a particular kind of property under subsections (g) and (i) of this section only to the extent that the debtor has exempted less property in value of such kind than that to which the debtor is entitled under subsection (b) of this section.

(k) Property that the debtor exempts under this section is not liable for payment of any administrative expense except--

(1) the aliquot share of the costs and expenses of avoiding a transfer of property that the debtor exempts under subsection (g) of this section, or of recovery of such property, that is attributable to the value of the portion of such property exempted in relation to the value of the property recovered; and
(2) any costs and expenses of avoiding a transfer under subsection (f) or (h) of this section, or of recovery of property under subsection (i)(1) of this section, that the debtor has not paid.

(l) The debtor shall file a list of property that the debtor claims as exempt under subsection (b) of this section. If the debtor does not file such a list, a dependent of the debtor may file such a list, or may claim property as exempt from property of the estate on behalf of the debtor. Unless a party in interest objects, the property claimed as exempt on such list is exempt.

(m) Subject to the limitation in subsection (b), this section shall apply separately with respect to each debtor in a joint case.

(n) For assets in individual retirement accounts described in section 408 or 408A of the Internal Revenue Code of 1986, other than a simplified employee pension under section 408(k) of such Code or a simple retirement account under section 408(p) of such Code, the aggregate value of such assets exempted under this section, without regard to amounts attributable to rollover contributions under section 402(c), 402(e)(6), 403(a)(4), 403(a)(5), and 403(b)(8) of the Internal Revenue Code of 1986, and earnings thereon, shall not exceed $1,283,0251 in a case filed by a debtor who is an individual, except that such amount may be increased if the interests of justice so require.

(o) For purposes of subsection (b)(3)(A), and notwithstanding subsection (a), the value of an interest in--
(1) real or personal property that the debtor or a dependent of the debtor uses as a residence;
(2) a cooperative that owns property that the debtor or a dependent of the debtor uses as a residence;
(3) a burial plot for the debtor or a dependent of the debtor; or
(4) real or personal property that the debtor or a dependent of the debtor claims as a homestead;

shall be reduced to the extent that such value is attributable to any portion of any property that the debtor disposed of in the 10-year period ending on the date of the filing of the petition with the intent to hinder, delay, or defraud a creditor and that the debtor could not exempt, or that portion that the debtor could not exempt, under subsection (b), if on such date the debtor had held the property so disposed of.

(p)(1) Except as provided in paragraph (2) of this subsection and sections 544 and 548, as a result of electing under subsection (b)(3)(A) to exempt property under State or local law, a debtor may not exempt any amount of interest that was acquired by the debtor during the 1215-day period preceding the date of the filing of the petition that exceeds in the aggregate $160,3751 in value in--

(A) real or personal property that the debtor or a dependent of the debtor uses as a residence;
(B) a cooperative that owns property that the debtor or a dependent of the debtor uses as a residence;
(C) a burial plot for the debtor or a dependent of the debtor; or
(D) real or personal property that the debtor or dependent of the debtor claims as a homestead.

(2)(A) The limitation under paragraph (1) shall not apply to an exemption claimed under subsection (b)(3)(A) by a family farmer for the principal residence of such farmer.

(B) For purposes of paragraph (1), any amount of such interest does not include any interest transferred from a debtor's previous principal residence (which was acquired prior to the beginning of such 1215-day period) into the debtor's current principal residence, if the debtor's previous and current residences are located in the same State.

(q)(1) As a result of electing under subsection (b)(3)(A) to exempt property under State or local law, a debtor may not exempt any amount of an interest in property described in subparagraphs (A), (B), (C), and (D) of subsection (p)(1) which exceeds in the aggregate $160,3751 if--
(A) the court determines, after notice and a hearing, that the debtor has been convicted of a felony (as defined in section 3156 of title 18), which under the circumstances, demonstrates that the filing of the case was an abuse of the provisions of this title; or
(B) the debtor owes a debt arising from--
(i) any violation of the Federal securities laws (as defined in section 3(a)(47) of the Securities Exchange Act of 1934), any State securities laws, or any regulation or order issued under Federal securities laws or State securities laws;
(ii) fraud, deceit, or manipulation in a fiduciary capacity or in connection with the purchase or sale of any security registered under section 12 or 15(d) of the Securities Exchange Act of 1934 or under section 6 of the Securities Act of 1933;
(iii) any civil remedy under section 1964 of title 18; or
(iv) any criminal act, intentional tort, or willful or reckless misconduct that caused serious physical injury or death to another individual in the preceding 5 years.
(2) Paragraph (1) shall not apply to the extent the amount of an interest in property described in subparagraphs (A), (B), (C), and (D) of subsection (p)(1) is reasonably necessary for the support of the debtor and any dependent of the debtor.

APPENDIX H

11 U.S.C. § 542 (2012).

Turnover of property to the estate.

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

(b) Except as provided in subsection (c) or (d) of this section, an entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order, shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor.

(c) Except as provided in section 362(a)(7) of this title, an entity that has neither actual notice nor actual knowledge of the commencement of the case concerning the debtor may transfer property of the estate, or pay a debt owing to the debtor, in good faith and other than in the manner specified in subsection (d) of this section, to an entity other than the trustee, with the same effect as to the entity making such transfer or payment as if the case under this title concerning the debtor had not been commenced.

(d) A life insurance company may transfer property of the estate or property of the debtor to such company in good faith, with the same effect with respect to such company as if the case under this title concerning the debtor had not been commenced, if such transfer is to pay a premium or to carry out a nonforfeiture insurance option, and is required to be made automatically, under a life insurance contract with such company that was entered into before the date of the filing of the petition and that is property of the estate.

(e) Subject to any applicable privilege, after notice and a hearing, the court may order an attorney, accountant, or other person that holds recorded information, including books, documents, records, and papers, relating to the debtor's property or financial affairs, to turn over or disclose such recorded information to the trustee.